CLSA

# Tencent

## HK$550.50 - HIGH CONVICTION OUTPERFORM

**Elinor Leung, CFA**
elinor.leung@clsa.com
+852 2600 8632

**Cici Cheng**
+852 2600 8658

**Oscar Cai**
+852 2600 2440

19 March 2026

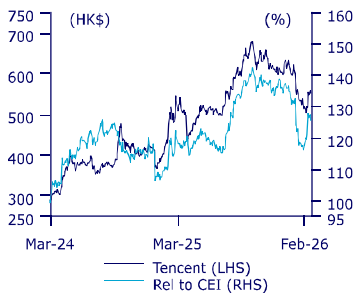
**China**
**Internet**

| | |
|---|---|
| **Reuters** | 0700.HK |
| **Bloomberg** | 700 HK |
| **Priced on 18 March 2026** | |
| HS CEI @ 8,835.5 | |
| **12M hi/lo** | HK$677.50/435.40 |
| **12M price target** | HK$740.00 |
| **±% potential** | +34% |
| **Shares in issue** | 9,528.0m |
| **Free float (est.)** | 64.7% |
| **Market cap** | US$639.6bn |
| **3M ADV** | US$1,888.0m |
| **Foreign s'holding** | 100.0% |

**Major shareholders**
Naspers 26.9%
Ma Huateng 8.4%

**Stock performance (%)**

| | 1M | 3M | 12M |
|---|---|---|---|
| Absolute | 3.3 | (9.0) | 1.8 |
| Relative | 6.0 | (8.9) | 5.7 |
| Abs (US$) | 3.0 | (9.7) | 0.9 |




Source: Bloomberg

# Games, ads and cloud propel growth

## Raising AI application development investment

**Tencent's 4Q25 results were inline with total revenue/adj. EBIT up 13%/17% YoY to Rmb194bn/70bn, boosted by continued robust game and ad revenue growth. Cloud also accelerated to 20% YoY growth. We expect total revenue to sustain robust c.11% YoY growth in 2026, as its game, ad and cloud businesses will benefit from the AI boost, but profit could grow slower than revenue with higher AI investment. Tencent believes GenAI is entering an exciting AI app development phase, where Tencent enjoys a strong edge with its massive community and service ecosystem which hold strong network effects. We lower our adj. NP 4%/5% for 26/27CL as the company plans to lift its AI investment and maintain our O-PF rating on an unchanged HK$740 target price as we believe AI investment will bring higher margins in the long term.**

### Online games to continue to lead in the AI era

Online game revenue continued to see solid 20% YoY growth to Rmb59bn. Domestic games rose 15% YoY to Rmb38bn, driven by *Delta Force*, *Valorant franchise*, and *Wuthering Waves*. International game revenue grew 32%YoY to Rmb21bn and 35.8% of game revenue, driven by Supercell's games, *PUBG MOBILE*, and Wuthering Waves. Impactful new releases include *Valorant Mobile* and *Assault Fire: Future* and upcoming new games include *Honor of King World*. Tencent believes GenAI empowers top-notch game studios and evergreen games more, given their edge in creativity and platform strengths. Competitive games have even higher bars for new entrants.

### Marketing services to ride AI and growing transactions

Marketing service revenue sustained solid 17% YoY growth to Rmb41.1bn, as enhancements to AI powered ad targeting and the expansion of close loop marketing capabilities within the Weixin ecosystem boosted ad performance and pricing. Ad impressions increased slightly, due to greater user engagement and a modest increase in ad load. Its new automated ad placement AIM+ solution improved ad ROI. Mini Shops already generated substantial GMV. User time spent on mini programs rose over 20% YoY, and AI plugins, such as CodeBuddy, enables mini program development using language input. Agentic tools will further enhance mini program ecosystem.

### Cloud accelerates growth

FBS revenue rose 8% YoY to Rmb60.8bn, of which business services accelerated to 22% YoY due to higher cloud revenue from domestic and international markets, driven by AI. ecommerce tech service fees also rose with Mini Shop GMV. Cloud recorded Rmb5bn adj. OP in 2025 and we estimate a 10%+ margin. China cloud has started raising prices as chip supply constraints enables hyper scalers to regain pricing power. Tencent also enjoys higher margins by combing compute with tokens, PaaS and SaaS.

**Financials**

| Year to 31 December | 24A | 25A | 26CL | 27CL | 28CL |
|---|---|---|---|---|---|
| Revenue (Rmbm) | 660,257 | 751,766 | 831,126 | 930,204 | 1,041,922 |
| *Rev forecast change (%)* | - | - | *(0.5)* | *(0.7)* | *(0.7)* |
| Net profit (Rmbm) | 194,073 | 224,842 | 235,263 | 272,823 | 312,383 |
| *NP forecast change (%)* | - | - | *(4.1)* | *(5.2)* | *(5.4)* |
| CL/consensus (40) (EPS%) | - | - | 96 | 98 | 98 |
| Adjusted net profit (Rmbm) | 222,703 | 259,626 | 279,513 | 318,256 | 361,263 |
| Adjusted EPS (fen) | 2,367.2 | 2,808.6 | 3,023.7 | 3,442.8 | 3,907.9 |
| Adj EPS growth (% YoY) | 44.3 | 18.6 | 7.7 | 13.9 | 13.5 |
| Adjusted PE (x) | 21.5 | 18.1 | 16.8 | 14.8 | 13.0 |
| Dividend yield (%) | 0.9 | 1.0 | 1.2 | 1.4 | 0.8 |
| ROE (%) | 21.8 | 21.1 | 18.7 | 18.4 | 18.0 |

Source: www.clsa.com

Click to rate this research

CLSA does and seeks to do business with companies covered in its research reports. As such, investors should be aware that there may be conflicts of interest which could affect the objectivity of the report. Investors should consider this report as only a single factor in making their investment decisions.

For important disclosures please refer to page 28

evalu@tor The Global Equities Database

Click to rate this research

# Financials at a glance

| Year to 31 December | 2024A | 2025A | 2026CL | (% YoY) | 2027CL | 2028CL |
|---|---|---|---|---|---|---|
| **Profit & Loss (Rmbm)** | | | | | | |
| **Revenue** | **660,257** | **751,766** | **831,126** | ***10.6*** | **930,204** | **1,041,922** |
| Cogs (ex-D&A) | (311,011) | (329,173) | (357,933) | | (392,979) | (434,288) |
| **Gross Profit (ex-D&A)** | **349,246** | **422,593** | **473,193** | ***12*** | **537,226** | **607,635** |
| SG&A and other expenses | (84,934) | (115,003) | (130,244) | | (135,426) | (140,806) |
| **Op Ebitda** | **264,312** | **307,590** | **342,949** | ***11.5*** | **401,799** | **466,829** |
| Depreciation/amortisation | (56,213) | (66,028) | (73,157) | | (89,804) | (108,950) |
| **Op Ebit** | **208,099** | **241,562** | **269,791** | ***11.7*** | **311,995** | **357,879** |
| Net interest inc/(exp) | 4,023 | 1,779 | (4,100) | | 1,580 | 8,937 |
| Other non-Op items | 29,363 | 33,908 | 28,347 | *(16.4)* | 28,116 | 27,540 |
| **Profit before tax** | **241,485** | **277,249** | **294,038** | ***6.1*** | **341,691** | **394,356** |
| Taxation | (45,018) | (47,448) | (55,867) | | (64,921) | (74,928) |
| **Profit after tax** | **196,467** | **229,801** | **238,171** | ***3.6*** | **276,770** | **319,428** |
| Minority interest | (2,394) | (4,959) | (2,908) | | (3,947) | (7,045) |
| **Net profit** | **194,073** | **224,842** | **235,263** | ***4.6*** | **272,823** | **312,383** |
| **Adjusted profit** | **222,703** | **259,626** | **279,513** | ***7.7*** | **318,256** | **361,263** |
| **Cashflow (Rmbm)** | | | | | | |
| **Operating profit** | **208,099** | **241,562** | **269,791** | ***11.7*** | **311,995** | **357,879** |
| Depreciation/amortisation | 56,213 | 66,028 | 73,157 | *10.8* | 89,804 | 108,950 |
| Working capital changes | 21,881 | 14,705 | 15,932 | *8.3* | 16,940 | 18,026 |
| Other items | (27,672) | (19,243) | (4,083) | | (5,335) | (6,013) |
| **Net operating cashflow** | **258,521** | **303,052** | **354,798** | ***17.1*** | **413,404** | **478,842** |
| Capital expenditure | (95,948) | (79,198) | (137,136) | | (139,531) | (140,659) |
| **Free cashflow** | **162,573** | **223,854** | **217,662** | ***(2.8)*** | **273,874** | **338,182** |
| M&A/Others | (26,239) | (126,534) | 0 | | 0 | 0 |
| **Net investing cashflow** | **(122,187)** | **(205,732)** | **(137,136)** | | **(139,531)** | **(140,659)** |
| Increase in loans | (14,300) | - | - | | - | - |
| Dividends | (31,244) | (48,151) | (55,373) | | (63,679) | (73,231) |
| Net equity raised/other | (130,950) | (39,005) | 0 | | 0 | 0 |
| **Net financing cashflow** | **(176,494)** | **(87,155)** | **(55,373)** | | **(63,679)** | **(73,231)** |
| Incr/(decr) in net cash | (40,160) | 10,165 | 162,289 | *1,496.5* | 210,195 | 264,951 |
| Exch rate movements | 359 | (1,643) | 0 | | 0 | 0 |
| **Balance sheet (Rmbm)** | | | | | | |
| Cash & equivalents | 132,519 | 141,041 | 303,330 | *115.1* | 513,525 | 778,476 |
| Accounts receivable | 48,203 | 49,930 | 58,562 | *17.3* | 62,863 | 73,146 |
| Other current assets | 119,147 | 160,711 | 160,723 | *0* | 160,839 | 160,868 |
| Fixed assets | 97,864 | 167,272 | 224,668 | *34.3* | 268,475 | 295,365 |
| Investments | 829,768 | 937,125 | 940,416 | *0.4* | 943,376 | 945,786 |
| Intangible assets | 196,127 | 205,999 | 209,290 | *1.6* | 212,250 | 214,660 |
| Other non-current assets | 357,367 | 376,908 | 376,908 | *0* | 376,908 | 376,908 |
| **Total assets** | **1,780,995** | **2,038,986** | **2,273,898** | ***11.5*** | **2,538,235** | **2,845,207** |
| Short-term debt | 61,508 | 53,160 | 53,160 | *0* | 53,160 | 53,160 |
| Accounts payable | 202,744 | 217,623 | 230,201 | *5.8* | 235,826 | 248,626 |
| Other current liabs | 132,657 | 141,968 | 153,967 | *8.5* | 169,698 | 185,235 |
| Long-term debt/CBs | 277,107 | 334,573 | 334,573 | *0* | 334,573 | 334,573 |
| Provisions/other LT liabs | 53,083 | 50,597 | 50,597 | *0* | 50,597 | 50,597 |
| Shareholder funds | 973,548 | 1,154,152 | 1,361,579 | *18* | 1,600,613 | 1,872,203 |
| Minorities/other equity | 80,348 | 86,913 | 89,821 | *3.3* | 93,768 | 100,814 |
| **Total liabs & equity** | **1,780,995** | **2,038,986** | **2,273,898** | ***11.5*** | **2,538,235** | **2,845,207** |
| **Ratio analysis** | | | | | | |
| Revenue growth (% YoY) | 8.4 | 13.9 | 10.6 | | 11.9 | 12.0 |
| Ebitda margin (%) | 40.0 | 40.9 | 41.3 | | 43.2 | 44.8 |
| Ebit margin (%) | 31.5 | 32.1 | 32.5 | | 33.5 | 34.3 |
| Net profit growth (%) | 68.4 | 15.9 | 4.6 | | 16.0 | 14.5 |
| Op cashflow growth (% YoY) | 16.5 | 17.2 | 17.1 | | 16.5 | 15.8 |
| Capex/sales (%) | 14.5 | 10.5 | 16.5 | | 15.0 | 13.5 |
| Net debt/equity (%) | 19.6 | 19.9 | 5.8 | | (7.4) | (19.8) |
| Net debt/Ebitda (x) | 0.8 | 0.8 | 0.2 | | - | - |
| ROE (%) | 21.8 | 21.1 | 18.7 | | 18.4 | 18.0 |
| ROIC (%) | 38.2 | 36.9 | 35.0 | | 38.2 | 42.5 |

Source: www.clsa.com

**Find CLSA research on Bloomberg, Thomson Reuters, FactSet and CapitalIQ - and profit from our evalu@tor proprietary database at clsa.com**

## Games, ad and cloud propel growth

**4Q25 results inline**

Tencent's 4Q25 results was inline with total revenue/adj. EBIT up 13%/17% YoY to Rmb194bn/70bn, boosted by continued robust games and ad revenue growth. Cloud accelerated +20% YoY growth with +10% margin. We expect total revenue to sustain robust +11% YoY growth in 2026, as games, ad and cloud businesses will benefit from strong AI boosts, but profit could grow slower than revenue with higher AI investment. Tencent believes GenAI enters an exciting AI application development phase, which Tencent enjoys strong edge with its massive community and service ecosystem which hold strong network effect, IPs and licenses. We lower adj. NP by 4%/5% for 26/27CL. We retain our O-PF rating and HK$740 target price.

Click to rate this research

Figure 1

**Key quarterly financials**

| Summary financials (Rmbm) | 1Q24 | 4Q24 | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 4Q25 YoY | 4Q25 QoQ | Actual/CL | 4Q25CL |
|---|---|---|---|---|---|---|---|---|---|---|
| Mobile QQ MAU | 553 | 524 | 534 | 532 | 517 | 508 | (3.1) | (1.7) | (3.1) | 524 |
| Wechat MAU | 1,359 | 1,385 | 1,402 | 1,411 | 1,414 | 1,418 | 2.4 | 0.3 | (0.2) | 1,421 |
| | | | | | | | | | | |
| VAS: Social networks | 30,529 | 29,754 | 32,633 | 32,168 | 32,260 | 30,620 | 2.9 | (5.1) | (4.8) | 32,151 |
| Domestic | 34,500 | 33,268 | 42,900 | 40,400 | 42,800 | 38,100 | 14.5 | (11.0) | 0.2 | 38,010 |
| International | 13,600 | 16,000 | 16,600 | 18,800 | 20,800 | 21,200 | 32.5 | 1.9 | (0.8) | 21,366 |
| International % of online games | 28.3 | 32.5 | 27.9 | 31.8 | 32.7 | 35.8 | | | | 36.0 |
| VAS: Online games | 48,100 | 49,268 | 59,500 | 59,200 | 63,600 | 59,300 | 20.4 | (6.8) | (0.1) | 59,376 |
| VAS | 78,629 | 79,022 | 92,133 | 91,368 | 95,860 | 89,920 | 13.8 | (6.2) | (1.8) | 91,527 |
| Online advertising | 26,506 | 35,004 | 31,853 | 35,762 | 36,242 | 41,116 | 17.5 | 13.4 | (1.7) | 41,811 |
| FinTech and Business Services | 52,302 | 56,125 | 54,907 | 55,536 | 58,174 | 60,818 | 8.4 | 4.5 | 1.7 | 59,797 |
| Others | 2,064 | 2,295 | 1,129 | 1,838 | 2,593 | 2,517 | 9.7 | (2.9) | (2.7) | 2,587 |
| **Total revenues** | **159,501** | **172,446** | **180,022** | **184,504** | **192,869** | **194,371** | **12.7** | **0.8** | **(0.7)** | **195,722** |
| YoY (%) | 6.3 | 11.1 | 12.9 | 14.5 | 15.4 | 12.7 | | | | 13.5 |
| | | | | | | | | | | |
| Gross profits | | | | | | | | | | |
| VAS | 45,022 | 44,157 | 54,911 | 55,223 | 58,623 | 53,539 | 21.2 | (8.7) | (1.8) | 54,518 |
| Online advertising | 14,520 | 20,197 | 17,694 | 20,585 | 20,551 | 24,559 | 21.6 | 19.5 | 4.0 | 23,618 |
| FinTech and Business Services | 23,851 | 26,460 | 27,597 | 28,952 | 29,210 | 30,857 | 16.6 | 5.6 | 4.3 | 29,590 |
| Others | 477 | (161) | 291 | 253 | 414 | (666) | 313.7 | (260.9) | | 427 |
| **Gross profits** | **83,870** | **90,653** | **100,493** | **105,013** | **108,798** | **108,289** | **19.5** | **(0.5)** | **0.1** | **108,153** |
| Gross margin (%) | | | | | | | | | | |
| VAS | 57.3 | 55.9 | 59.6 | 60.4 | 61.2 | 59.5 | 3.7pt | -1.6pt | 0.0pt | 59.6 |
| Online advertising | 54.8 | 57.7 | 55.5 | 57.6 | 56.7 | 59.7 | 2.0pt | 3.0pt | 3.2pt | 56.5 |
| FinTech and Business Services | 45.6 | 47.1 | 50.3 | 52.1 | 50.2 | 50.7 | 3.6pt | 0.5pt | 1.3pt | 49.5 |
| **Overall** | **52.6** | **52.6** | **55.8** | **56.9** | **56.4** | **55.7** | **3.1pt** | **-0.7pt** | **0.5pt** | **55.3** |
| | | | | | | | | | | |
| Other gains | 1,031 | 2,513 | (1,397) | (3,578) | 483 | 1,315 | | | | 1,492 |
| Selling and marketing | (7,536) | (10,285) | (7,866) | (9,410) | (11,468) | (12,983) | 26.2 | 13.2 | 12.4 | (11,548) |
| General and administrative | (24,809) | (31,403) | (33,664) | (31,921) | (34,259) | (36,283) | 15.5 | 5.9 | (1.5) | (36,847) |
| % of revenue | | | | | | | | | | |
| Selling and marketing | 4.7 | 6.0 | 4.4 | 5.1 | 5.9 | 6.7 | 0.7pt | 0.7pt | 0.8pt | 5.9 |
| General and administrative | 15.6 | 18.2 | 18.7 | 17.3 | 17.8 | 18.7 | 0.5pt | 0.9pt | -0.2pt | 18.8 |
| Opex | 20.3 | 24.2 | 23.1 | 22.4 | 23.7 | 25.3 | 1.2pt | 1.6pt | 0.6pt | 24.7 |
| | | | | | | | | | | |
| EBIT | 52,556 | 51,478 | 57,566 | 60,104 | 63,554 | 60,338 | 17.2 | (5.1) | (1.5) | 61,250 |
| YoY (%) | 38.2 | 24.3 | 9.5 | 18.5 | 19.2 | 17.2 | | | | 19.0 |
| **EBIT margin (%)** | **33.0** | **29.9** | **32.0** | **32.6** | **33.0** | **31.0** | **1.2pt** | **-1.9pt** | **-0.3pt** | **31.3** |
| Net profit to shareholders | 41,889 | 51,324 | 47,821 | 55,628 | 63,133 | 58,260 | 13.5 | (7.7) | 12.6 | 51,756 |
| YoY (%) | 62.1 | 89.9 | 14.2 | 16.8 | 18.6 | 13.5 | | | | 0.8 |
| **Net margin (%)** | **26.3** | **29.8** | **26.6** | **30.2** | **32.7** | **30.0** | **0.2pt** | **-2.8pt** | **3.5pt** | **26.4** |
| | | | | | | | | | | |
| **Non-GAAP financials** | | | | | | | | | | |
| Adj EBIT | 58,619 | 59,475 | 69,320 | 69,248 | 72,570 | 69,518 | 16.9 | (4.2) | (3.1) | 71,755 |
| YoY (%) | 30.2 | 21.0 | 18.3 | 18.5 | 18.4 | 16.9 | | | | 20.6 |
| **Adj EBIT margin (%)** | **36.8** | **34.5** | **38.5** | **37.5** | **37.6** | **35.8** | **1.3pt** | **-1.9pt** | **-0.9pt** | **36.7** |
| Adj Net profit to shareholders | 50,265 | 55,312 | 61,329 | 63,052 | 70,551 | 64,694 | 17.0 | (8.3) | 0.3 | 64,504 |
| YoY (%) | 54.5 | 29.6 | 22.0 | 10.0 | 18.0 | 17.0 | | | | 16.6 |
| **Adj Net margin (%)** | **31.5** | **32.1** | **34.1** | **34.2** | **36.6** | **33.3** | **1.2pt** | **-3.3pt** | **0.3pt** | **33.0** |

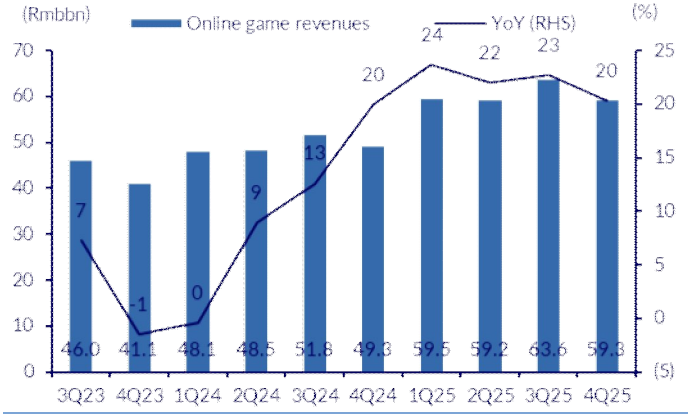
Source: Company, CLSA

## Online games: To maintain its strong leadership

**Tencent's online game revenue grew 20.4% YoY to Rmb59.3bn in 4Q25**

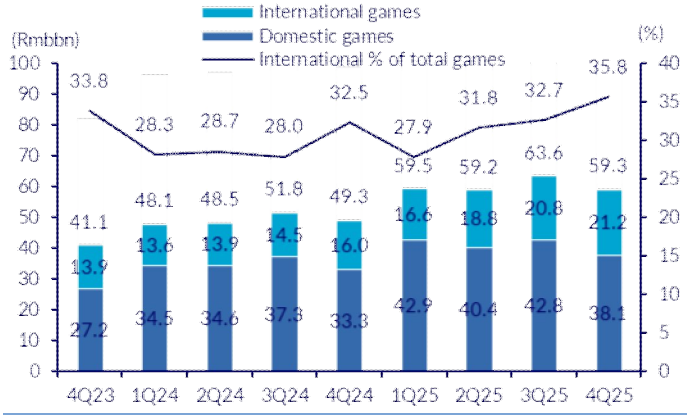
Tencent's online game revenue grew 20.4% YoY to Rmb59.3bn in 4Q25, with domestic/international games revenue rising 15%/32% YoY (versus 15%/43% YoY in 3Q25) driven by *Delta Force*, *Valorant* franchise (PC & mobile), Supercell's games, *PUBG MOBILE*, as well as *Wuthering Wave*.

Figure 2
**Tencent's online game revenue**




Source: Company, CLSA

Figure 3
**Tencent's domestic versus international game revenue**




Source: Company, CLSA

Domestic game revenue rose 15% YoY to Rmb38bn in 4Q25, driven by recently released games such as *Delta Force*, *Valorant franchise* (PC & mobile), as well as *Wuthering Waves*.

**HoK continued to top China's game grossing chart**

- ***HoK*** continued to top China's game grossing chart, with grossing up 11% YoY in 4Q25 (35% YoY in 3Q25), per SensorTower, supported by content updates for the 10th anniversary celebration and S41, with new limited skins for *Hou Yi*, *Yang Jian*, *Nv Wa and* IP collaboration activities with Sanxingdui Museum (三星堆博物馆) in October, limited skins for *Cao Cao*, and 2025 KPL Grand Finals in November, as well as a new gameplay mode Dream Ultra Fire and 2025 Skin Design Contest in Dec. At the 10th anniversary milestone on 26 October, *Honor of Kings* revealed that its China-server DAU surpassed 139m, and its global MAU exceeded 260m. The game grossing jumped 29.3% YoY in October, due to new popular characters in September and the 10th anniversary celebration.

**Delta Force Mobile ranked no.2 on China's game grossing chart in October and November (third in December)**

- ***Delta Force*** Mobile ranked no.2 on China's game grossing chart in October and November (third in December), with grossing reaching Rmb4.6bn in 4Q25, according to SensorTower, supported by S6 content updates with new IP collaboration activities with *Saw Series* in October, S7 version released with new maps, weapons and campaign mode in November and 2025 DFIW (Delta Force Invitation: Warfare) in December.

  Tencent dominates extraction shooter game genre in China with *Delta Force* and strong network effects. As *Delta Force*'s main competitors are primarily overseas (Chinese players accessing overseas game are relatively cumbersome), we believe that *Delta Force*'s overwhelming advantage in the extraction-shooter genre in China will persist in 2026.

- ***Valorant:*** The franchise records exceptional growth across both PC and mobile platforms. ***Valorant PC*** recorded +30% YoY gross receipts increase, achieving

record-high average daily active users (DAU) in 4Q25. This success was driven by new content such as the "Flowers meets Magic" skin series and various esports events. Meanwhile, ***Valorant Mobile*** emerged as the most successful new mobile game of 2025 by gross receipts, reaching a new lifetime high in February 2026 following the release of traditional Chinese-themed outfits.

- ***League of Legend*: *Wild*** ranked no.7 on China's game grossing chart in November, with grossing up 17% YoY to Rmb1.5bn in 4Q25 according to SensorTower, supported by content updates in the launch of S19: Gold Glory with new limited skin suits and characters Nidalee, Rell and Kog' Maw.

- ***Fight of the Golden Spatula*** stayed no.6/3/2 on China's game grossing chart in October/November/December, with gross receipts up 53% YoY to Rmb3.2bn in 4Q25 per SensorTower, thanks to the launch of 2025 World Championship limited-time mode: Champion Rumble in October & November and Version 16 with new skins and characters in December.

- ***Cross Fire**'s* gross receipts grew 81% YoY in 4Q25, per SensorTower, driven by the launch of its 10th anniversary celebration. This version update introduced a limited-time nostalgia mode that recreates the early versions of *Cross Fire*, including original gameplay mechanics, classic visuals, and iconic maps, successfully attracting remarkable returning veteran players. In addition, *CF* released the classic map "New Eagle Eye" and rolled out a brand-new moving system that allows jumping and crouching to coexist. Under this system, players can initiate jumps from a crouched position and freely switch between standing and crouching mid-air, significantly raising the skill ceiling. This unique feature is rarely in competitive FPS titles, making it a distinct advantage.

***Assault Fire: Future*** **attracted more than 10m users within two days of its 13 Jan launch**

- ***Assault Fire: Future*** has attracted more than 10m users within two days of its 13 Jan launch. First unveiled in 2022, the title underwent multiple major revisions during testing—including shelving an early open-world direction—before settling on PvE-oriented shooting. Marketing leaned heavily into the nostalgia of the Counter Strike IP to reactivate long-time PC players: on launch day it topped the iOS Free chart. We view *Counter Strike: Future* as Tencent's strategic entry in the PvE looter-shooter segment, still a blue-ocean niche domestically with few direct competitors, supporting a constructive outlook for the title's long-term revenue trajectory.

**Tencent received around 10 game approvals in 2025**

Tencent has received around ten game approvals in 2025, including action game ***Honor of King World*** (PC/Mobile, launched in Spring 2026), martial art game ***Sword Snow Stride*** (PC/Mobile), shooter game ***Fate Trigger, Squad, Cross Fire: Rainbow* and *the Finals***, ARPG ***Path of Exile 2***, *and* ACG ***Rewinding Cadence***. Other noteworthy pipelines include open-world RPG ***Roco Kingdom*** (set for launch on 26 Mar 2026) and one of the most famous simulation IP owned by Tencent: *QQ farm*.

Figure 4

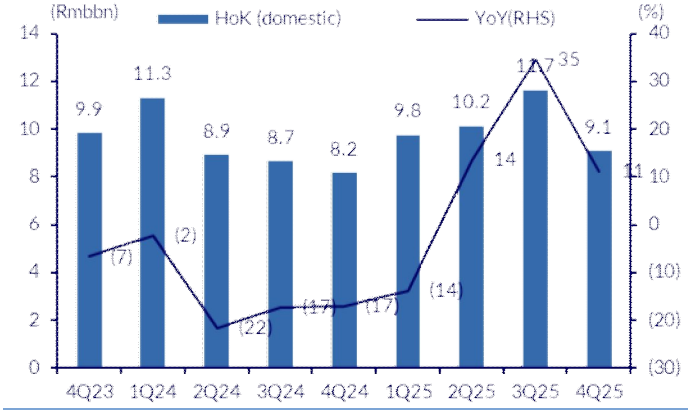
**China app store game grossing chart**

| Oct 25 | Title | Chinese title | Genre | Publisher | Nov 25 | Title | Chinese title | Genre | Publisher | Dec 25 | Title | Chinese title | Genre | Publisher |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 1 | Honor of Kings (HoK) | 王者荣耀 | MOBA | Tencent | 1 | Honor of Kings (HoK) | 王者荣耀 | MOBA | Tencent | 1 | Honor of Kings (HoK) | 王者荣耀 | MOBA | Tencent |
| 2 | Delta Force | 三角洲行动 | FPS | Tencent | 2 | Delta Force | 三角洲行动 | FPS | Tencent | 2 | Fight of The Golden Spatula | 金铲铲之战 | Auto chess | Tencent |
| 3 | Whiteout Survival | 无尽冬日 | SLG | Century Games | 3 | Fight of The Golden Spatula | 金铲铲之战 | Auto chess | Tencent | 3 | Delta Force | 三角洲行动 | FPS | Tencent |
| 4 | DnF Mobile | 地下城与勇士：起源 | MMOA RPG | Tencent | 4 | Whiteout Survival | 无尽冬日 | SLG | Century Games | 4 | Peacekeeper Elite | 和平精英 | FPS | Tencent |
| 5 | Peacekeeper Elite | 和平精英 | FPS | Tencent | 5 | Peacekeeper Elite | 和平精英 | FPS | Tencent | 5 | Whiteout Survival | 无尽冬日 | SLG | Century Games |
| 6 | Fight of The Golden Spatula | 金铲铲之战 | Auto chess | Tencent | 6 | DnF Mobile | 地下城与勇士：起源 | MMOA RPG | Tencent | 6 | Love And Deepspace | 恋与深空 | Interactive Story | PaperGames |
| 7 | Fantasy Westward Journey Mobile | 梦幻西游 | Turn-based RPG | NetEase | 7 | League of Legends: Wild Rift | 英雄联盟手游 | MOBA | Tencent | 7 | Fantasy Westward Journey Mobile | 梦幻西游 | Turn-based RPG | NetEase |
| 8 | Love And Deepspace | 恋与深空 | Interactive Story | PaperGames | 8 | Honkai: Star Rail | 崩坏：星穹铁道 | Turn-based RPG | MiHoYo | 8 | Valorant Mobile | 无畏契约：能源行动 | FPS | Tencent |
| 9 | Valorant Mobile | 无畏契约：能源行动 | FPS | Tencent | 9 | Fantasy Westward Journey Mobile | 梦幻西游 | Turn-based RPG | NetEase | 9 | Where Winds Meet | 燕云十六声 | MMOA RPG | NetEase |
| 10 | Cross Fire | 穿越火线 | FPS | Tencent | 10 | Valorant Mobile | 无畏契约：能源行动 | FPS | Tencent | 10 | Cross Fire | 穿越火线 | FPS | Tencent |

Source: Sensor Tower, CLSA

Figure 5

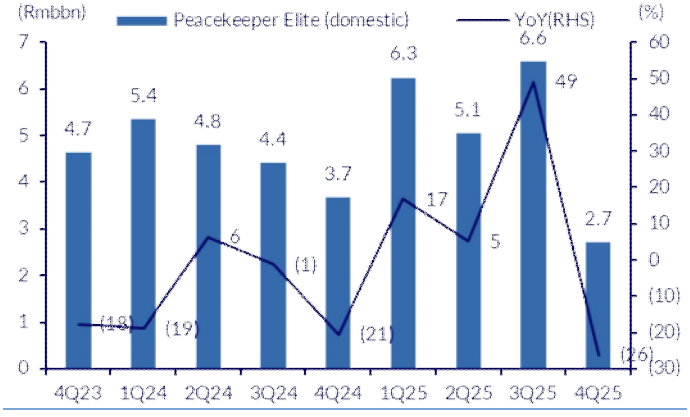
***Honor of Kings* (China)**




Source: Sensor Tower, CLSA

Figure 6

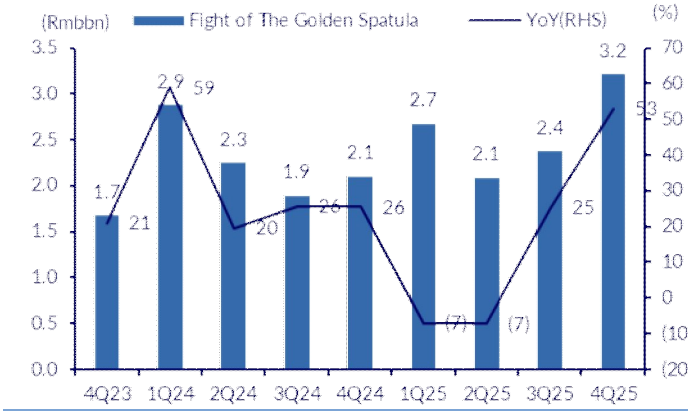
***Peacekeeper Elite* (China)**




Source: Sensor Tower, CLSA

Figure 7

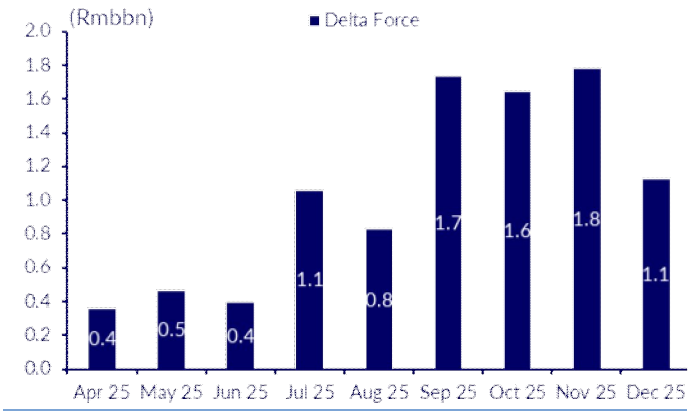
***Fight of The Golden Spatula* (China)**




Source: Sensor Tower, CLSA

Figure 8

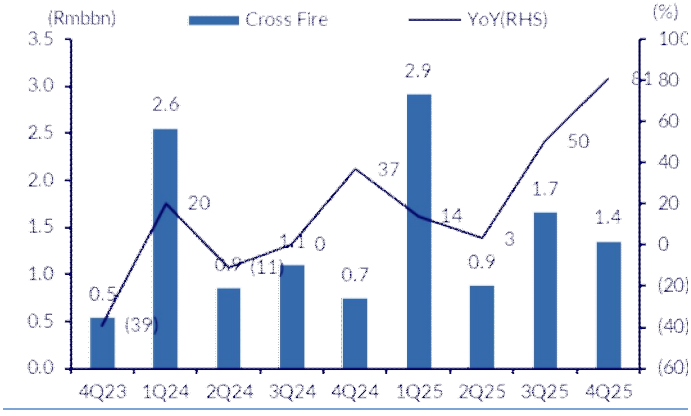
***Delta Force* (China)**




Source: Sensor Tower, CLSA

Figure 9

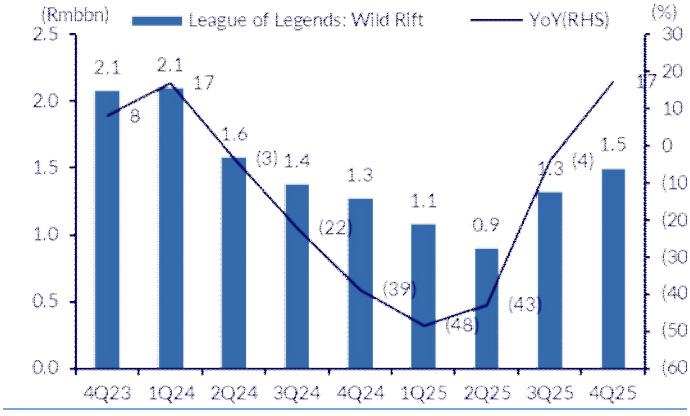
***Cross Fire* (China)**




Source: Sensor Tower, CLSA

Figure 10

***League of Legends: Wild Rift* (China)**




Source: Sensor Tower, CLSA

Figure 11

***Hok* DAU in 10th celebration**

Source: Company

Figure 12

***Hok* MAU in 10th celebration**

Source: Company

Figure 13

**Recent releases**

| English title | Chinese title | Developer | PC/Mobile | Game Genre | Date of approval (mm/dd/yyyy) | Status/Release date (mm/dd/yyyy) |
|---|---|---|---|---|---|---|
| DnF Mobile | 地下城与勇士：起源 | Neople | Mobile | ARPG | 2/1/2024 | 5/21/2024 |
| Hay Day | 卡通农场 | Supercell | Mobile | Simulation | 6/28/2021 | 5/16/2024 |
| Heroes of Might and Magic | 魔法门之英雄无敌：领主争霸 | Ubisoft | Mobile | SLG | 9/22/2023 | 5/31/2024 |
| Tarisland | 塔瑞斯世界 | Shanghai Youai Zhixing | PC/Mobile | MMORPG | 12/25/2023 | 6/14/2024 |
| Auroria | 创造吧！我们的星球 | Hero Games | Mobile | Sandbox | 3/23/2023 | 6/26/2024 |
| Ace Force 2 | 王牌战士 2 | Tencent | Mobile | FPS | 5/19/2023 | 7/6/2024 |
| Need for Speed: Hot Pursuit Remastered | 极品飞车：集结 | Tencent | Mobile | Racing | 1/25/2024 | 7/11/2024 |
| World Genesis | 世界启元 | Tencent | Mobile | SLG | 12/25/2023 | 7/16/2024 |
| Manor union | 庄园合合 | Tencent | Mobile | Casual | 3/16/2023 | 7/23/2024 |
| Delta Force | 三角洲行动 | iDreamSky | PC/Mobile | Shooting | 7/24/2023 | 10/14/2024 |
| Black Desert | 黑色沙漠 | Pearl Abyss | PC | MMORPG | 6/5/2024 | 10/24/2024 |
| Pokemon Unite | 宝可梦大集结 | Timi Studio, The Pokemon Company | Mobile, Switch | MOBA 5v5 | 12/10/2022 | 11/7/2024 |
| One Piece: Ardent Sail | 航海王：壮志雄心 | Tencent | Mobile | ACG | 8/29/2023 | 12/19/2024 |
| Arena Breakout Infinite | 暗区突围 | Tencent | PC | RPG shooter | 7/14/2023 | 4/29/2025 |
| NIKKE：The Goddess of Victory | 胜利女神：新的希望 | Shift Up | PC/mobile | Third-person shooter | 10/25/2024 | 5/22/2025 |
| Passionate NBA | 热血美职篮 | Tencent | Mobile | Basketball | 1/25/2024 | 6/30/2025 |
| Stellar Resonance | 星痕共鸣 | NOKURA | PC/mobile | MMORPG | 1/21/2025 | 7/17/2025 |
| Assault Fire：Future | 逆战：未来 | Tencent | PC/Mobile | FPS | 12/25/2023 | 13/01/2026 |

Source: Company, CLSA

Figure 14

**Domestic Pipeline**

| English title | Chinese title | Developer | PC/Mobile | Game Genre | Date of approval (mm/dd/yyyy) |
|---|---|---|---|---|---|
| QQ Farm | QQ 经典农场 | Tencent | Mobile | Simulation | 12/24/2025 |
| Bahuang Qilv | 八荒奇旅 | Guangzhou Kugou Computer Technology Co., Ltd | Mobile | TBD | 10/21/2025 |
| Rewinding Cadence | 归环 | Tencent Saroasis Studios | PC/mobile | RPG | 9/24/2025 |
| The Final | 终极角逐 | Embark Studios | PC | FPS | 7/21/2025 |
| Squad | 战术小队：破晓攻势 | Offworld Industries | PC | FPS | 6/23/2025 |
| Cross Fire: Rainbow | 穿越火线：虹 | Smilegate & Tencent | PC/mobile | Shooter | 6/23/2025 |
| Hidden One | 异人之下 | Tencent | PC/mobile | Action | 8/30/2024 |
| Path of Exile 2 | 流放之路：降临 | Grinding Gear Games | PC | ARPG | 4/18/2025 |
| Fate Trigger | 命运扳机 | Tencent | PC/mobile | Shooter | 4/18/2025 |
| Sword Snow Stride | 雪中悍刀行 | Tencent | PC/mobile | Martial art game | 3/20/2025 |
| Honor of King World | 王者荣耀世界 | Tencent | PC/mobile | Action | 1/20/2025 |
| Honor of Fight | 星之破晓 | Tencent | Mobile | MOBA | 6/20/2023 |
| MONSTER HUNTER OUTLANDERS | 怪物猎人：旅人 | Tencent | PC/mobile | Action | 12/23/2024 |
| Dragon Fighter | 龙珠 | Combo Games | Mobile | SLG | 10/25/2024 |
| Squad Busters | 爆裂小队 | Supercell | Mobile | Action | 10/25/2024 |
| Hunting | 狩 | Tencent | Mobile | Action | 9/27/2024 |
| Paper Mario: The Origami King | 纸片马力欧：折纸国王 | Intelligent Systems | Nintendo Switch | RPG | 8/2/2024 |
| Tom Clancy's Rainbow Six | 彩虹六号 | Ubisoft | PC/mobile | FPS | 8/2/2024 |
| Roco Kingdom | 洛克王国 | Tencent | PC/mobile | Open-world | 6/24/2024 |
| DAEMON X MACHINA | 战魔机甲 | Marvelous | Nintendo Switch | Shooting | 6/5/2024 |
| Super Mario 3D World + Fury World | 超级马力欧三维世界和狂怒世界 | Nintendo | Nintendo Switch | Action | 6/5/2024 |
| Pokémon Let's Go, Pikachu! | 宝可梦 走吧！皮卡丘 | GAME FREAK | Nintendo Switch | RPG | 6/5/2024 |
| Carbon Island | 碳碳岛 | Tencent | Mobile | Simulation | 4/26/2024 |
| Pokémon: Let's Go, Eevee! | 宝可梦 走吧！伊布 | GAME FREAK | Nintendo Switch | RPG | 4/8/2024 |
| Mega Man 11 | 洛克人 11 | Capcom | PC | Adventure | 4/8/2024 |
| Donkey Kong Country: Tropical Freeze | 森喜刚热带冻结 | Retro | Nintendo Switch | Platform | 4/8/2024 |
| Taiko no Tatsujin | 太鼓之达人 | Bandai Namco | Nintendo Switch | Music rhythm game | 2/1/2024 |
| Kirby Star Allies | 星之卡比 新星同盟 | Nintendo | Nintendo Switch | Party game | 2/1/2024 |

Source: Company, CLSA

International games revenue grew 32% YoY to Rmb21bn in 4Q25, due to higher revenue from *Supercell's games*, *PUBG Mobile*, as well as *Wuthering Waves*.

**Clash Royale grossing jumped 308% YoY to US$305m in 4Q25**

- ***Clash Royale*** gross receipts jumped 308% YoY to US$305m in 4Q25. It surpassed *PUBG Mobile* as Tencent's highest-grossing mobile game in overseas markets. It released S76: Rock+Rule with new characters and balance improvements in October, S77: When Hogs Fly with double 11 discount activities in November and S78: Heroic Holidays with 2v2 League mode in December. The launch of the *merge tactic* mode was a bold and highly successful innovation for *Clash Royale*. It continues to deliver substantial value to *Clash Royale* in 4Q25 and extend the longevity and sustainable engagement in the game.

- ***PUBG Mobile*** gross receipts declined 15.4% YoY in 4Q25 due to a high base. Its new S4.1 update on 6 November, collaborated with Babymonster, Porsche and Balenciaga, and added a new limited-time Arcade mode with new skins and items, which could revive growth.

**Hay Day grossing increased 10% YoY to US$59m in 4Q25**

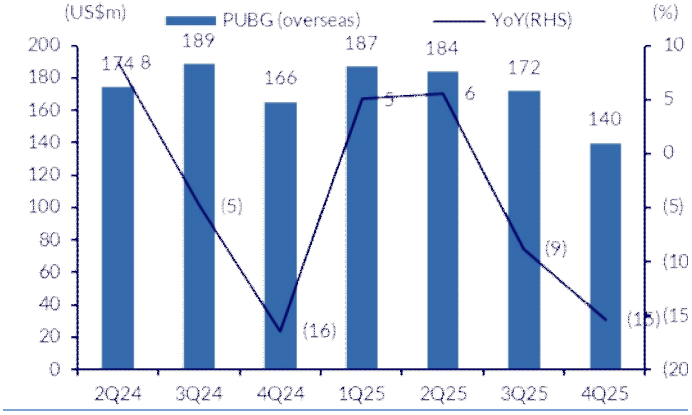
- ***Hay Day*** gross receipts increased 10% YoY to US$59m in 4Q25. As a long-running casual title from Supercell, *Hay Day* has maintained a positive YoY growth of c.10% since 4Q23. The game released Haunted Halloween activities where players can collect ghosts in their farm in October, Thanksgiving/Christmas celebrations in November/December. Notably, most of *Hay Day*'s event rewards correspond directly to real-world charitable initiatives. For example, during the ghost-catching event, each ghost captured by players increases the number of real meals that the company donates to the UN World Food Programme. This approach not only serves as an effective promotional mechanism but also meaningfully boosts player engagement and retention.

- ***Wuthering Waves*** has gained significant and commercial traction, winning the Players' Voice Award at the 2025 Game Awards. In 4Q25, the game experienced rapid year-on-year growth in both DAU and gross receipts. Management attributes this momentum to the introduction of a new storyline, the "urban ruins" maps, and the debut of new characters, which bolstered its contribution to both domestic and international revenue.

- ***Warframe*** reached lifetime highs in both average DAU and gross receipts in Dec 2025. This peak performance was triggered by the launch of a major content update titled "The Old Piece," which introduced a fresh storyline, two new game modes, and a new Warframe named Uriel.

Figure 15

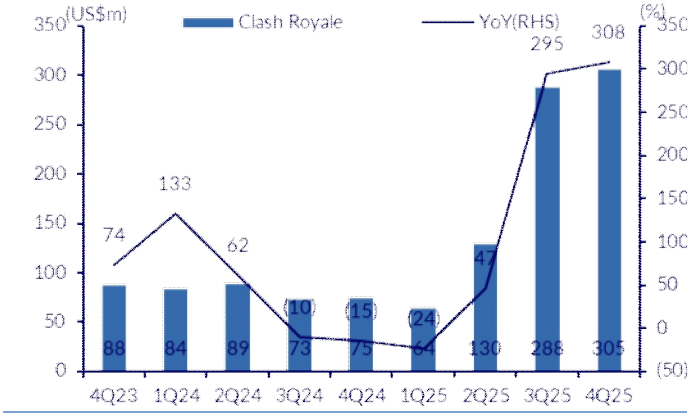
***PUBG Mobile* (overseas)**




Source: Sensor Tower, CLSA

Figure 16

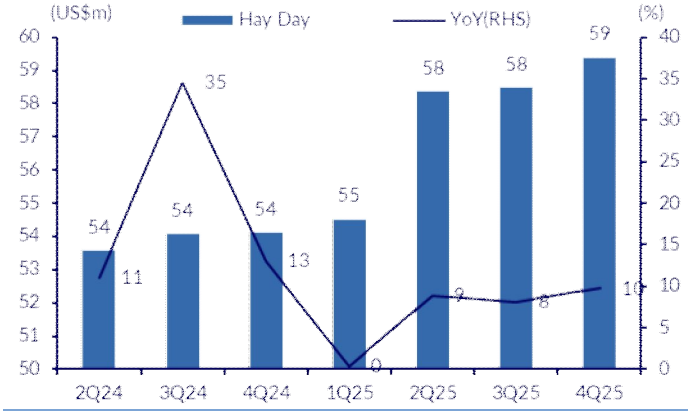
***Clash Royale***




Source: Sensor Tower, CLSA

Figure 17

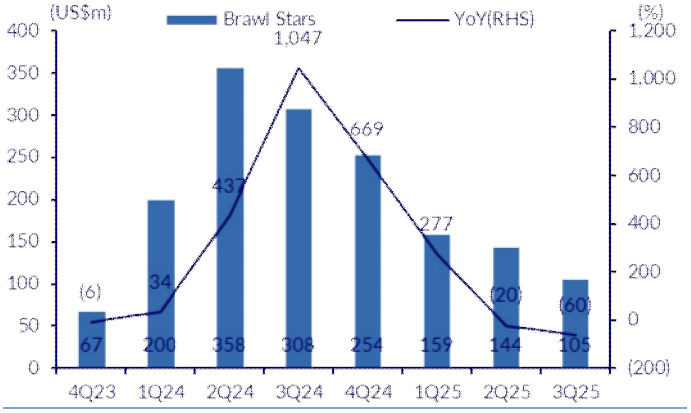
***Hay Day***




Source: Sensor Tower, CLSA

Figure 18

***Brawl Star***




Source: Sensor Tower, CLSA

Figure 19

**Tencent overseas pipeline**

| Name | Platform | Genre | Release date | Developer | Publisher |
|---|---|---|---|---|---|
| **Recently released games** | | | | | |
| Delta Force | Console | Shooting | 12/5/2024 | TiMi Studio Group | Level Infinite |
| Tower of Fantasy | Mobile/PC | ACG ARPG | 8/11/2022 & 10/20/2022 | Perfect World | Level Infinite |
| Metal Hellsinger | PS5, Xbox X\|S, PC | Shooting | 9/15/2022 | Funcom, The Outsiders | Level Infinite |
| Warhammer 40,000: Darktide | PC | Action/Adventure | 11/30/2022 | Fatshark | Level Infinite |
| Goddess of Victory: Nikke | Mobile | Shooting | 11/4/2022 | Shift Up | Level Infinite |
| Honor of Kings | Mobile | Action/MOBA | 3/8/2023 (Brazil) | Tencent (TiMi Studio) | Level Infinite |
| Undawn | Mobile/PC | Open world survival | 6/15/2023 | LightSpeed Studios | Level Infinite |
| Avatar: Reckoning | Mobile | RPG shooter | 6/7/2023 | Archosaur Games | Level Infinite |
| Arena Breakout | Mobile | RPG shooter | 7/14/2023 | Level Infinite | Level Infinite |
| Squash Buster | Mobile | Party action game | 5/1/2023 | SuperCell | SuperCell |
| Path of Exile 2 | Steam | ARPG | 12/6/2024 | Grinding Gear Games | Level Infinite |
| Delta Force | PC/Mobile | Shooting | 12/5/2024 | TiMi Studio Group | Level Infinite |
| Nightingale | PC | Action/Adventure | 2/20/2025 | Inflexion Games | Inflexion Games |
| MO.CO | Mobile | ARPG | 3/18/2025 | Supercell | Supercell |
| Dune Awakening | PS5, Xbox X\|S, PC | Open world survival | 6/5/2025 | Funcom | Level Infinite |
| Pipeline | | | | | |
| Assassin's Creed Jade | Mobile | Open world action | Jul 05 | Ubisoft/Level Infinite | Level Infinite |
| Monster Hunter | Mobile | MMORPG | Jul-05 | Capcom, TiMi Studio | Level Infinite |
| Last Sentinel | Console | Open world adventure | Jul-05 | Lightspeed | Level Infinite |
| Way finder | Steam | RPG | TBC | Airship Syndicate | Digital Extremes |
| Stampede: Racing Royale | PC | Racing | TBC | Sumo Leamington | Secret Mode |

Source: Company, CLSA

## Social network: Grew with video accounts & music subscriptions

**Social network revenue rose 3% YoY to Rmb30.6bn**

Social network revenue rose 3% YoY to Rmb30.6bn, boosted by Video Accounts, livestream revenues, music subscriptions and mini games.

- Tencent enhanced monetization in Video Accounts live stream while music subscription revenue rose 13% YoY, driven by healthy expansion in both subscriber base and ARPU. While long-form video subscriptions saw modest 1% YoY growth, the platform maintained its leadership in content with top-tier titles like Love's Ambition and Renegade Immortal, ranking first in their respective genres.

**Tencent is strategically deploying generative AI to further fortify core franchises**

- Tencent is strategically deploying generative AI to further fortify core franchises. The deployment of longer-sequence AI models has already boosted time spent on Video Accounts by over 20%, while new AI agents are developed to autonomously interact within the Mini Program ecosystem to drive productivity. Management emphasizes that the "network effects" and "private data" inherent in these communication services provide a unique moat, making the segment highly resilient against potential AI-based competition while offering significant long-term operating leverage.

- Mini game continued to gain popularity, with 300m MAU in IAP mini games and 400m MAU in IAA mini games. Additionally, c.70 mini games have over 1m daily active users each, and over 300 games generate over Rmb10m grossing per quarter. Tencent has reached an agreement with Apple to enable the sale of virtual items for mini-games on the iOS platform, opening up a new incremental

monetization pathway. This move is viewed as an important breakthrough in establishing a more complete ecosystem within Apple, potentially providing a commercial foundation for more lightweight game products in the future.

Figure 20
**Love's Ambition**

Source: Company

## Marketing: Boosted by AI powered ad targeting and transactions

**Advertising revenue rose 17% YoY to Rmb41.1bn in 4Q25**

Advertising revenue rose 17% YoY to Rmb41.1bn in 4Q25, as enhancements to AI powered ad targeting and expansion of close loop marketing capabilities within the Weixin ecosystem boosted ad performance and pricing.

- Tencent continued to enhance Mini Shops by upgrading its centralised eCommerce gateway page, which now allows users to manage shopping carts, view friends' recommendations, and receive notifications from favourite stores; the revamp generated substantial GMV in 4Q25. The company also introduced a "Likes for Discount" feature, enabling users to discover products endorsed by friends and enjoy discounts via recommendation feeds on the gateway page, as well as through sharing in chats and Moments. In addition, Tencent upgraded its marketing toolset by allowing merchants to customise coupons for targeted users and usage scenarios, while improving user engagement through interactive formats such as lucky draws and fan zones.

- Tencent further strengthened its Mini Programs ecosystem, with total user time spent increasing by over 20% YoY, driven by growing engagement in productivity tools, mini games and online novels. On the supply side, Tencent upgraded its developer toolkits through AI-powered plugins such as Tencent CodeBuddy, enabling developers to build mini programs using natural language input and lowering development barriers. In addition, the company supported developers of AI-native mini programs by providing free Tencent Cloud compute resources and data analytics tools, further fostering innovation and content supply within the ecosystem.

## FBS: Cloud revenue accelerated growth

**FinTech & business services (FBS) rose 8% YoY to Rmb60.8bn in 4Q25**

FinTech & Business Services (FBS) rose 8% YoY to Rmb60.8bn in 4Q25. Fintech services revenue rose single digit YoY, driven by higher revenues from wealth management services and commercial payment activities. Commercial payment

volume continued to grow YoY, due to higher number of transactions, and narrowed decline in value per transaction.

**Business services revenue accelerated to 22%YoY**

Business services revenue accelerated to 22% YoY benefiting from cloud services and technology services fees collected on mini shops ecommerce transactions. Cloud services accelerated YoY growth, due to increased demand and better environment, as its scale advantages became clearer amid tight supply of memory and CPU industry-side. Revenue from Cloud Media services grew notably YoY, as clients increasingly adopted its video and audio processing solutions due to top-tier streaming quality. Cloud business turned breakeven in 2024 and generated Rmb5bn profits in 2025, a +10% margin per our estimate. China clouds start raising prices over last week, as chip supply constraint enables hyperscalers to regain pricing power. Tencent also enjoys higher margin by combing compute with tokens, PaaS and SaaS.

## Gross margin continued to expand

**Adj. Ebit increased 16.9% YoY to Rmb69.5bn in 4Q25**

Adj. Ebit increased 16.9% YoY to Rmb69.5bn in 4Q25, with 35.8% margin, up 1.3ppt YoY, boosted by solid topline growth and gross margin expansion.

Gross margin increased by 3.1ppt to 55.7%, mainly driven by expanded gross margin across all VAS, marketing services and FBS.

- VAS gross margin rose 3.7ppts YoY to 59.5%, driven by increased contributions from certain internally developed high-margin games.
- Marketing gross margin improved 2.0ppts YoY to 59.7%, supported by increased contribution from high-margin revenues from Video Accounts and Weixin Search and AI-powered marketing services.
- FBS gross margin rose 3.6ppts YoY to 50.7% on the back of the growing scale of cloud services, an improved revenue mix within FinTech services and enhanced cost efficiency.

**Opex ratio rose 1.2ppts YoY to 25.3%**

Opex ratio rose 1.2ppts YoY to 25.3%, with increase in S&M and R&D.

- S&M cost ratio was up 0.7ppts to 6.7%, due to increased promotional efforts to support the growth of AI native applications and games.
- G&A (including R&D) cost ratio was up 0.5ppts YoY to 18.7%, driven by a larger workforce and increased depreciation expenses resulting from AI infra investment, as well as higher headcount at headquarters and AI-related roles.

Adj net profit grew 17% YoY to Rmb64.7bn, with margin up 1.2ppts YoY to 33.3% in 4Q25.

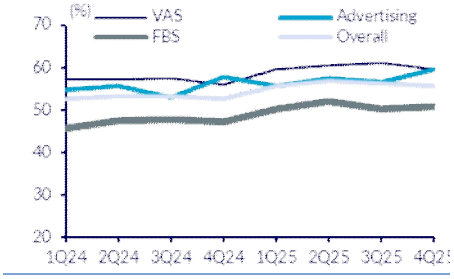
Tencent repurchased HK$23.8bn worth of shares in 4Q25 or HK$80bn in 2025. Also, Tencent declared annual dividend of HK$5.3 per share for 2025, up 18% YoY.

**Tencent will continue share repurchasing dynamically and did not provide a committed amount for 2026**

Tencent will continue share repurchase dynamically but doesn't provide a committed amount for 2026. Share repurchase will be lower in 2026 as company intends to reallocate capital toward high-return AI opportunities.

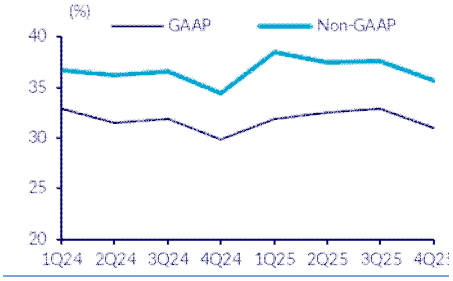
Fair value of its holding in listed investee companies (excluding subsidiaries was Rmb672.7bn and the carrying book value of its holding in unlisted investee companies (excluding subsidiaries) was Rmb363.1bn.

Figure 21
**Gross margin**



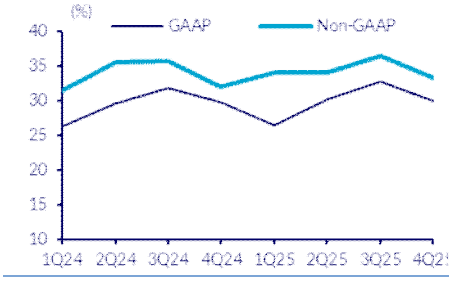

Source: Company, CLSA

Figure 22
**Operating margin**




Source: Company, CLSA

Figure 23
**Net margin**




Source: Company, CLSA

## AI: Ramp up investment

**Tencent spent Rmb7bn on new AI products in 4Q25 and Rmb18bn in 2025**

Tencent spent Rmb7bn on new AI products in 4Q25 and Rmb18bn in 2025, mostly in COGS and operating expenses. The company plans to at least double its investment in new AI products in 2026, potentially leading to faster revenue growth than profit. This is a strategic decision where short-term profitability is deliberately subordinated to ecosystem positioning and technological leadership. Financial returns will gradually materialize as products mature and achieve scale.

- By 2026, its **constraints on GPU supply** will substantially ease as Tencent will expand computing capacity through three pathways: 1) leasing computing power; 2) procuring high-end imported GPUs (with supply recovering); 3) large-scale adoption of domestically designed and self-developed GPUs, forming a diversified, resilient supply system.

- **On talent,** Tencent has already established a globally competitive core "Hun Yuan" team. Talent recruitment is not only driven by compensation but also by technology culture, cross-functional collaboration mechanisms, distinctive application scenarios (e.g., the WeChat Mini Program ecosystem), and top-tier leadership. Talent strategy has now entered the stage of "selective supplementation" rather than broad expansion.

- Tencent will invest across the full stack **AI technology deployment** - 1) Model layer: HunYuan; 2) Infrastructure layer: Cloud, cybersecurity, payments; 3) Application layer: WeChat, Mini Programs, gaming. Its key competitive advantage lies in the application and connectivity layer, leveraging 1) full coverage across PC, mobile, and cloud; 2) a over one billion user ecosystem; 3) a decentralized Mini Program platform; and 4) two decades of accumulated engineering capabilities.

HY 3.0, which is in internal testing, aims to provide substantial improvement over HY 2.0, and will progressively make external commencement from April.

## 1Q26 outlook: Prioritizing AI investment

**We expect Tencent to sustain c.11% total revenue growth in 2026**

We expect Tencent to sustain c.11% total revenue growth in 2026 but profit could grow slower than revenue, due to increase in AI investment. Operating expenses associated with new AI products are anticipated to double YoY to Rmb3.6bn, while

capital expenditures could also rise given the acquisition of H200 chips, which will translate to higher depreciation. Tencent will continue to repurchase shares dynamically but doesn't provide a committed amount for 2026 (vs Rmb80bn in 2025).

**We expect total revenue to grow c.10% YoY to Rmb197bn in 1Q26**

We expect total revenue to grow c.10% YoY to Rmb197bn in 1Q26. Online games revenue could decelerate YoY growth while marketing services will likely sustain solid YoY growth. Cloud revenue will further accelerate growth with strong AI demand and overseas expansion.

We expect domestic games revenue to grow at slower c.8% YoY due to the late Chinese New Year holiday, resulting in greater revenue recognition in 2Q26 compared to last year. Established titles such as ***HoK*** and ***Peacekeeper Elite***, along with successful new releases like ***Delta Force***, ***Valorant Mobile***, and ***Wuthering Waves***, all demonstrate robust performance. International games revenue could grow 18% YoY, driven by strong performance of ***Clash Royale*** and ***Wuthering Waves***. Additionally, iOS reduces its revenue sharing ratio from 30% to 25% and will boost game gross margins. However, the incremental profit may spend on AI investment.

We forecast advertising revenue will accelerate YoY growth driven by rising ad load, increasing user traffic of video accounts, close-looped marketing from mini-shops, mini programs and Weixin search inventories, and introduction of automated ad campaign solution, AIM+.

We expect FBS to also accelerate YoY growth. Business Services could see faster growth on strong AI demand, better pricing abiltiy, and overseas expansion. Tencent is on track to expand its GPU capacity during course of 2026 and 2027, benefiting internal use cases and Tencent Cloud.

**We expect adjusted EBIT to grow at a slower pace than revenue**

We expect adjusted EBIT to grow at a slower pace than revenue, up 9% YoY to Rmb75bn with a 38.2% margin, down 0.3ppts YoY, due to increased investment in AI, including GPU depreciation and leasing, higher R&D expenses, and promotional spending on AI applications (such as a Rmb1bn user subsidy for Yuanbao during Chinese New Year).

## Retain O-PF with an unchanged target price of HK$740

**We lower our adj. net profit 4%/5% for 2026/2027 as the company plans to raise AI investment**

We lower adj. net profit by 4%/5% for 2026/2027 as the company plans to raise AI investment which might make profit grow slower than revenue. Tencent believes GenAI enters an exciting AI application development phase, which Tencent enjoys strong edge with its massive community and service ecosystem which hold strong network effect, IPs and licenses. It invested Rmb18bn on new AI products such as Hunyuan and Yuanbao, which is expected to be double in 2025. However, this could be mostly offset by higher gross margin in core businesses, given operating leverage and lower revenue sharing on iOS. We expect Tencent to grow revenue and profit by c.10%-11% in 2026, and new AI products could boost future revenue growth. We retain our Outperform rating on an unchanged target price of HK$740.

Figure 24

**Forecast changes**

| Forecast change | 2024 | 2025 | 26CL | 27CL | 28CL |
|---|---|---|---|---|---|
| Revenue (Rmbm) | 660,257 | 751,766 | 831,126 | 930,204 | 1,041,922 |
| Forecast change (%) | | | (0.5) | (0.7) | (0.7) |
| EBIT ex-other gains (Rmbm) | 200,097 | 244,739 | 264,991 | 306,995 | 352,879 |
| Forecast change (%) | | | (3.6) | (4.5) | (4.3) |
| Net Profit (Rmbm) | 194,073 | 224,842 | 235,263 | 272,823 | 312,383 |
| Forecast change (%) | | | (4.1) | (5.2) | (5.4) |
| Adj EBIT (Rmbm) | 237,811 | 280,656 | 309,682 | 352,806 | 401,854 |
| Forecast change (%) | | | (2.1) | (3.1) | (3.1) |
| Adj Net Profit (Rmbm) | 222,703 | 259,626 | 279,513 | 318,256 | 361,263 |
| Forecast change (%) | | | (4.4) | (5.3) | (5.5) |

Source: Company, CLSA

Figure 25

**SOPV**

| | Valuation method | Valuation (US$bn) | Valuation per share (HK$) |
|---|---|---|---|
| Social, Games, Ad | Implied 17.4x 26CL adj PE | 654 | 552 |
| Fintech | 3x 26CL P/S | 50 | 43 |
| Cloud | 5x 26CL P/S | 37 | 31 |
| Net cash | | 40 | 34 |
| Core businesses | DCF | 782 | 659 |
| Strategic investments | 15% discount to market cap | 95 | 80 |
| **Total SOTP** | **Implied 21.9x 26CL adj PE** | **877** | **740** |

Source: CLSA

Figure 26

**DCF**

| Discounted to Mar 2027 | 26CL | 27CL | 28CL | 29CL | 30CL | 31CL | 32CL | 33CL | 34CL | 35CL | 36CL |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenue (Rmbbn) | 831 | 930 | 1,042 | 1,167 | 1,308 | 1,466 | 1,645 | 1,844 | 2,068 | 2,319 | 2,600 |
| YoY (%) | 11 | 12 | 12 | 12 | 12 | 12 | 12 | 12 | 12 | 12 | 12 |
| EBITDA (Rmbbn) | 338 | 397 | 462 | 532 | 609 | 687 | 769 | 859 | 958 | 1,064 | 1,181 |
| EBITDA margin (%) | 41 | 43 | 44 | 46 | 47 | 47 | 47 | 47 | 46 | 46 | 45 |
| Taxation (Rmbbn) | (51) | (59) | (68) | (78) | (89) | (102) | (115) | (131) | (149) | (168) | (189) |
| WC change (Rmbbn) | 16 | 17 | 18 | 19 | 20 | 22 | 23 | 25 | 26 | 28 | 30 |
| Capex (Rmbbn) | (137) | (140) | (141) | (140) | (144) | (147) | (148) | (151) | (153) | (153) | (151) |
| Capex/Sales (%) | 17 | 15 | 14 | 12 | 11 | 10 | 9 | 8 | 7 | 7 | 6 |
| FCF (Rmbbn) | 166 | 215 | 271 | 334 | 396 | 460 | 529 | 601 | 682 | 771 | 871 |
| WACC (%) | 12.4 | | | | | | | | | | |
| Terminal growth rate (%) | 1.5 | | | | | | | | | | |
| Implied terminal EV/EBIT (x) | 8.1 | | | | | | | | | | |
| Enterprise value (US$bn) | 741 | | | | | | | | | | |
| Net cash (US$bn) | 40 | | | | | | | | | | |
| Equity value (US$bn) | 782 | | | | | | | | | | |
| Equity value (HK$/sh) | 659 | | | | | | | | | | |

Source: Company, CLSA

Figure 27

**WACC (no changes)**

| WACC Estimate | |
|---|---|
| Risk Free Rate | 4% |
| Beta | 1.20 |
| Equity Risk Premium | 7% |
| Cost of Equity | 12% |
| Cost of Debt | 5% |
| Tax Rate | 25% |
| Equity/Capital | 100% |
| Debt/Capital | 0% |
| WACC | 12.4% |

Source: CLSA

Figure 28

**Income statement**

| (Rmbm) | 2024 | 2025 | 26CL | 27CL | 28CL |
|---|---|---|---|---|---|
| VAS: Social networks | 121,500 | 127,681 | 128,987 | 138,258 | 148,359 |
| VAS: Online games | 197,668 | 241,600 | 269,176 | 302,531 | 339,050 |
| Domestic games | 139,668 | 164,200 | 180,620 | 197,779 | 216,192 |
| International games | 58,000 | 77,400 | 88,556 | 104,752 | 122,857 |
| Value-added services (VAS) | 319,168 | 369,281 | 398,163 | 440,789 | 487,408 |
| Online ads | 121,374 | 144,973 | 172,476 | 204,534 | 241,907 |
| FinTech and Business Services | 211,956 | 229,435 | 252,409 | 276,804 | 304,530 |
| Others | 7,759 | 8,077 | 8,077 | 8,077 | 8,077 |
| **Total revenue** | **660,257** | **751,766** | **831,126** | **930,204** | **1,041,922** |
| YoY (%) | | | | | |
| VAS: Social networks | 2.5 | 5.1 | 1.0 | 7.2 | 7.3 |
| VAS: Online games | 9.9 | 22.2 | 11.4 | 12.4 | 12.1 |
| Domestic games | 10.3 | 17.6 | 10.0 | 9.5 | 9.3 |
| International games | 9.0 | 33.4 | 14.4 | 18.3 | 17.3 |
| Value-added services (VAS) | 7.0 | 15.7 | 7.8 | 10.7 | 10.6 |
| Online ads | 19.6 | 19.4 | 19.0 | 18.6 | 18.3 |
| FinTech and Business Services | 4.0 | 8.2 | 10.0 | 9.7 | 10.0 |
| Others | 43.8 | 4.1 | 0.0 | 0.0 | 0.0 |
| **Total revenue** | **8.4** | **13.9** | **10.6** | **11.9** | **12.0** |
| | | | | | |
| Value-added services | 181,657 | 222,296 | 245,655 | 276,361 | 308,027 |
| Online ads | 67,232 | 83,389 | 100,071 | 119,694 | 142,774 |
| FinTech and Business Services | 99,701 | 116,616 | 127,467 | 141,170 | 156,833 |
| Others | 656 | 292 | 0 | 0 | 0 |
| Gross profits | 349,246 | 422,593 | 473,193 | 537,226 | 607,635 |
| Gross margin (%) | | | | | |
| Value-added services | 56.9 | 60.2 | 61.7 | 62.7 | 63.2 |
| Online ads | 55.4 | 57.5 | 58.0 | 58.5 | 59.0 |
| FinTech and Business Services | 47.0 | 50.8 | 50.5 | 51.0 | 51.5 |
| Others | 8.5 | 3.6 | 0.0 | 0.0 | 0.0 |
| **Gross margin (%)** | **52.9** | **56.2** | **56.9** | **57.8** | **58.3** |
| | | | | | |
| Other income | 8,002 | (3,177) | 4,800 | 5,000 | 5,000 |
| Selling and marketing | (36,388) | (41,727) | (46,132) | (50,701) | (55,748) |
| General and administrative | (112,761) | (136,127) | (162,070) | (179,529) | (199,007) |
| Operating expenses | (149,149) | (177,854) | (208,201) | (230,230) | (254,755) |
| EBIT | 208,099 | 241,562 | 269,791 | 311,995 | 357,879 |
| YoY (%) | 30.0 | 16.1 | 11.7 | 15.6 | 14.7 |
| **EBIT margin (%)** | **31.5** | **32.1** | **32.5** | **33.5** | **34.3** |
| Net gains from investment & others | 4,187 | 10,168 | 7,000 | 3,500 | 0 |
| Interest income | 16,004 | 16,909 | 13,224 | 18,905 | 26,261 |
| Interest expense | (11,981) | (15,130) | (17,325) | (17,325) | (17,325) |
| Associates' profit | 25,176 | 23,740 | 21,347 | 24,616 | 27,540 |
| Pre-tax profit | 241,485 | 277,249 | 294,038 | 341,691 | 394,356 |
| Taxation | (45,018) | (47,448) | (55,867) | (64,921) | (74,928) |
| Minority interest | (2,394) | (4,959) | (2,908) | (3,947) | (7,045) |
| **Net profit to shareholders** | **194,073** | **224,842** | **235,263** | **272,823** | **312,383** |
| YoY (%) | 68.4 | 15.9 | 4.6 | 16.0 | 14.5 |
| **Net margin (%)** | **29.4** | **29.9** | **28.3** | **29.3** | **30.0** |
| Non-GAAP financials | | | | | |
| Adj EBIT | 237,811 | 280,656 | 309,682 | 352,806 | 401,854 |
| YoY (%) | 23.9 | 18.0 | 10.3 | 13.9 | 13.9 |
| **Adj EBIT margin (%)** | **36.0** | **37.3** | **37.3** | **37.9** | **38.6** |
| Adj net profit | 222,703 | 259,626 | 279,513 | 318,256 | 361,263 |
| YoY (%) | 41.2 | 16.6 | 7.7 | 13.9 | 13.5 |
| **Adj net margin (%)** | **33.7** | **34.5** | **33.6** | **34.2** | **34.7** |

Source: Company, CLSA

Figure 29

**Balance sheet**

| (Rmbm) | 2024 | 2025 | 26CL | 27CL | 28CL |
|---|---|---|---|---|---|
| Cash | 132,519 | 141,041 | 303,330 | 513,525 | 778,476 |
| Restrict cash | 3,334 | 6,977 | 6,977 | 6,977 | 6,977 |
| Time deposits | 192,977 | 236,801 | 236,801 | 236,801 | 236,801 |
| Financial assets | 17,663 | 48,911 | 48,911 | 48,911 | 48,911 |
| Account receivable | 48,203 | 49,930 | 58,562 | 62,863 | 73,146 |
| Inventories | 440 | 530 | 542 | 658 | 687 |
| Prepayments and others | 101,044 | 111,270 | 111,270 | 111,270 | 111,270 |
| **Total current assets** | **496,180** | **595,460** | **766,394** | **981,005** | **1,256,267** |
| Fixed assets | 80,185 | 149,905 | 207,301 | 251,108 | 277,998 |
| Construction in progress | 12,302 | 9,670 | 9,670 | 9,670 | 9,670 |
| Investment property | 801 | 950 | 950 | 950 | 950 |
| Leasehold land & land use rights | 23,117 | 22,339 | 22,339 | 22,339 | 22,339 |
| Intangible assets | 196,127 | 205,999 | 209,290 | 212,250 | 214,660 |
| Investments | 297,415 | 348,712 | 352,003 | 354,963 | 357,373 |
| Financial assets | 508,435 | 565,124 | 565,124 | 565,124 | 565,124 |
| Deferred income tax assets | 28,325 | 28,618 | 28,618 | 28,618 | 28,618 |
| Others | 42,828 | 24,540 | 24,540 | 24,540 | 24,540 |
| **Total assets** | **1,780,995** | **2,038,986** | **2,273,898** | **2,538,235** | **2,845,207** |
| Accounts payable | 118,712 | 121,127 | 125,123 | 119,008 | 120,108 |
| Other payables and accruals | 84,032 | 96,496 | 105,077 | 116,818 | 128,518 |
| ST borrowings | 52,885 | 42,618 | 42,618 | 42,618 | 42,618 |
| Current income tax liabilities | 16,586 | 18,558 | 18,558 | 18,558 | 18,558 |
| Other tax liabilities | 4,038 | 3,723 | 3,723 | 3,723 | 3,723 |
| Deferred revenue | 100,097 | 110,309 | 122,308 | 138,039 | 153,576 |
| **Total current liabilities** | **396,909** | **412,751** | **437,328** | **458,684** | **487,021** |
| Deferred income tax liabilities | 18,546 | 21,684 | 21,684 | 21,684 | 21,684 |
| Long term payable | 10,201 | 10,544 | 10,544 | 10,544 | 10,544 |
| **Total liabilities** | **727,099** | **797,921** | **822,498** | **843,854** | **872,191** |
| Non-controlling interests | 80,348 | 86,913 | 89,821 | 93,768 | 100,814 |
| Share capital | 0 | 0 | 0 | 0 | 0 |
| Share premium | 43,079 | 63,796 | 63,796 | 63,796 | 63,796 |
| Shares held for share award schemes | (5,093) | (7,124) | (7,124) | (7,124) | (7,124) |
| Other reserves | 47,129 | 90,494 | 90,494 | 90,494 | 90,494 |
| Retained earnings | 892,030 | 1,010,436 | 1,217,863 | 1,456,897 | 1,728,487 |
| **Total shareholders' equity** | **973,548** | **1,154,152** | **1,361,579** | **1,600,613** | **1,872,203** |
| **Total liabilities and equities** | **1,780,995** | **2,038,986** | **2,273,898** | **2,538,235** | **2,845,207** |

Source: Company, CLSA

Figure 30

**Cashflow statement**

| (Rmbm) | 2024 | 2025 | 26CL | 27CL | 28CL |
|---|---|---|---|---|---|
| Net profit | 194,073 | 224,842 | 235,263 | 272,823 | 312,383 |
| Depreciation | 27,332 | 32,799 | 38,599 | 53,864 | 71,572 |
| Amortization | 28,881 | 33,229 | 34,558 | 35,940 | 37,378 |
| Share based compensation | 20,702 | 25,660 | 27,538 | 29,890 | 32,438 |
| Working capital change | 21,881 | 14,705 | 15,932 | 16,940 | 18,026 |
| Others | (34,348) | (28,183) | 2,908 | 3,947 | 7,045 |
| **Operating cashflow** | **258,521** | **303,052** | **354,798** | **413,404** | **478,842** |
| Capex | (95,948) | (79,198) | (137,136) | (139,531) | (140,659) |
| Acquisition | 17,332 | 0 | 0 | 0 | 0 |
| Others | (43,571) | (126,534) | 0 | 0 | 0 |
| **Investing cashflow** | **(122,187)** | **(205,732)** | **(137,136)** | **(139,531)** | **(140,659)** |
| Issue (Repayment) of debts | (14,300) | 0 | 0 | 0 | 0 |
| Issue (Repurchase) of shares | (102,331) | 0 | 0 | 0 | 0 |
| Dividend | (31,244) | (48,151) | (55,373) | (63,679) | (73,231) |
| Others | (28,619) | (39,005) | 0 | 0 | 0 |
| **Financing cashflow** | **(176,494)** | **(87,155)** | **(55,373)** | **(63,679)** | **(73,231)** |
| Net change in cash | (40,160) | 10,165 | 162,289 | 210,195 | 264,951 |
| Cash, beginning of year | 172,320 | 132,519 | 141,041 | 303,330 | 513,525 |
| Exchange losses | 359 | (1,643) | 0 | 0 | 0 |
| **Cash, end of year** | **132,519** | **141,041** | **303,330** | **513,525** | **778,476** |

Source: Company, CLSA

## Investment thesis

Tencent maintains a strong game pipeline and it is actively expanding its global presence by investing in overseas studios and introducing domestic blockbusters to overseas markets. In terms of social networks, we believe Tencent has ample room for growth, supported by increased revenue from mini games and video account streams. Tencent could take more ad market share via strong traffic growth for video accounts. The fintech business could benefit from its large language model (LLM) development.

## Catalysts

Normalised game monetisation approvals, overseas game expansion, a ramp-up of ad revenue from video accounts and its large language model (LLM).

## Valuation details

Our SOTP-based methodology comprises a core business valuation using a DCF approach and strategic investments. Our DCF valuation for the core businesses assumes a 12.4% WACC (4.0% risk-free rate, 1.2 beta, 7.0% equity-risk premium) and 1.5% terminal growth. We value the investment portfolio by applying a 15% holding company discount to its market cap. We assign a 3x 25CL P/S to fintech, and an 5x 25CL P/S to cloud and derive an implied PE multiple for the social, game and advertising business.

## Investment risks

Margin pressure from new investments, including online finance, payments and cloud services, could hinder performance. Additional risks include a structural decline in the PC gaming industry, intense competition in mobile and PC games as the market becomes saturated, and uncertainty around monetising WeChat, which is still in an early stage. Existing and potential regulations on antitrust, data security, ecommerce, gaming and online content, where applicable, may challenge existing business arrangements and result in negative financial outcomes. The US added Tencent to the list of firms that it alleges work with “China military companies”.

evalu@tor
The Global Equities Database
Click to rate this research

# Detailed financials

## Profit & Loss (Rmbm)

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| **Revenue** | **554,552** | **609,015** | **660,257** | **751,766** | **831,126** | **930,204** | **1,041,922** |
| Cogs (ex-D&A) | (315,806) | (315,906) | (311,011) | (329,173) | (357,933) | (392,979) | (434,288) |
| **Gross Profit (ex-D&A)** | **238,746** | **293,109** | **349,246** | **422,593** | **473,193** | **537,226** | **607,635** |
| Research & development costs | - | - | - | - | - | - | - |
| Selling & marketing expenses | (29,229) | (34,211) | (36,388) | (41,727) | (46,132) | (50,701) | (55,748) |
| Other SG&A | (45,480) | (44,517) | (56,548) | (70,099) | (88,912) | (89,725) | (90,057) |
| Other Op Expenses ex-D&A | 8,006 | 4,701 | 8,002 | (3,177) | 4,800 | 5,000 | 5,000 |
| **Op Ebitda** | **172,043** | **219,082** | **264,312** | **307,590** | **342,949** | **401,799** | **466,829** |
| Depreciation/amortisation | (61,216) | (59,008) | (56,213) | (66,028) | (73,157) | (89,804) | (108,950) |
| **Op Ebit** | **110,827** | **160,074** | **208,099** | **241,562** | **269,791** | **311,995** | **357,879** |
| Interest income | 8,592 | 13,808 | 16,004 | 16,909 | 13,224 | 18,905 | 26,261 |
| Interest expense | (9,352) | (12,268) | (11,981) | (15,130) | (17,325) | (17,325) | (17,325) |
| **Net interest inc/(exp)** | (760) | 1,540 | 4,023 | 1,779 | (4,100) | 1,580 | 8,937 |
| Associates/investments | 116,287 | (6,090) | 4,187 | 10,168 | 7,000 | 3,500 | - |
| Forex/other income | - | - | - | - | - | - | - |
| Asset sales/other cash items | (16,129) | 5,800 | 25,176 | 23,740 | 21,347 | 24,616 | 27,540 |
| Provisions/other non-cash items | - | - | - | - | - | - | - |
| Asset revaluation/Exceptional items | - | - | - | - | - | - | - |
| **Profit before tax** | **210,225** | **161,324** | **241,485** | **277,249** | **294,038** | **341,691** | **394,356** |
| Taxation | (21,516) | (43,276) | (45,018) | (47,448) | (55,867) | (64,921) | (74,928) |
| **Profit after tax** | **188,709** | **118,048** | **196,467** | **229,801** | **238,171** | **276,770** | **319,428** |
| Preference dividends | - | - | - | - | - | - | - |
| **Profit for period** | **188,709** | **118,048** | **196,467** | **229,801** | **238,171** | **276,770** | **319,428** |
| Minority interest | (466) | (2,832) | (2,394) | (4,959) | (2,908) | (3,947) | (7,045) |
| **Net profit** | **188,243** | **115,216** | **194,073** | **224,842** | **235,263** | **272,823** | **312,383** |
| Extraordinaries/others | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Profit avail to ordinary shares** | 188,243 | 115,216 | 194,073 | 224,842 | 235,263 | 272,823 | 312,383 |
| Dividends | (143,106) | (52,755) | (41,711) | (48,151) | (55,373) | (63,679) | (73,231) |
| **Retained profit** | 45,137 | 62,461 | 152,363 | 176,692 | 179,889 | 209,144 | 239,152 |
| **Adjusted profit** | **115,649** | **157,688** | **222,703** | **259,626** | **279,513** | **318,256** | **361,263** |
| EPS (fen) | 1,975.7 | 1,218.6 | 2,093.8 | 2,474.9 | 2,589.6 | 3,003.0 | 3,438.4 |
| Adj EPS [pre excep] (fen) | 1,192.9 | 1,640.9 | 2,367.2 | 2,808.6 | 3,023.7 | 3,442.8 | 3,907.9 |
| Core EPS (fen) | 1,192.9 | 1,198.9 | 2,062.9 | 2,432.3 | 2,545.0 | 2,951.3 | 3,379.3 |
| DPS (fen) | 1,502.0 | 217.7 | 450.0 | 530.0 | 609.5 | 700.9 | 403.0 |

## Profit & loss ratios

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| **Growth (%)** | | | | | | | |
| Revenue growth (% YoY) | (1.0) | 9.8 | 8.4 | 13.9 | 10.6 | 11.9 | 12.0 |
| Ebitda growth (% YoY) | (0.7) | 27.3 | 20.6 | 16.4 | 11.5 | 17.2 | 16.2 |
| Ebit growth (% YoY) | (4.0) | 44.4 | 30.0 | 16.1 | 11.7 | 15.6 | 14.7 |
| Net profit growth (%) | (16.3) | (38.8) | 68.4 | 15.9 | 4.6 | 16.0 | 14.5 |
| EPS growth (% YoY) | (16.3) | (38.3) | 71.8 | 18.2 | 4.6 | 16.0 | 14.5 |
| Adj EPS growth (% YoY) | (6.6) | 37.6 | 44.3 | 18.6 | 7.7 | 13.9 | 13.5 |
| DPS growth (% YoY) | 24.3 | (85.5) | 106.7 | 17.8 | 15.0 | 15.0 | (42.5) |
| Core EPS growth (% YoY) | (6.6) | 0.5 | 72.1 | 17.9 | 4.6 | 16.0 | 14.5 |
| **Margins (%)** | | | | | | | |
| Gross margin (%) | 43.1 | 48.1 | 52.9 | 56.2 | 56.9 | 57.8 | 58.3 |
| Ebitda margin (%) | 31.0 | 36.0 | 40.0 | 40.9 | 41.3 | 43.2 | 44.8 |
| Ebit margin (%) | 20.0 | 26.3 | 31.5 | 32.1 | 32.5 | 33.5 | 34.3 |
| Net profit margin (%) | 33.9 | 18.9 | 29.4 | 29.9 | 28.3 | 29.3 | 30.0 |
| Core profit margin | 33.9 | 18.9 | 29.4 | 29.9 | 28.3 | 29.3 | 30.0 |
| Op cashflow margin | 26.3 | 36.4 | 39.2 | 40.3 | 42.7 | 44.4 | 46.0 |
| **Returns (%)** | | | | | | | |
| ROE (%) | 24.6 | 15.1 | 21.8 | 21.1 | 18.7 | 18.4 | 18.0 |
| ROA (%) | 6.8 | 7.8 | 10.1 | 10.5 | 10.1 | 10.5 | 10.8 |
| ROIC (%) | 31.9 | 31.2 | 38.2 | 36.9 | 35.0 | 38.2 | 42.5 |
| ROCE (%) | 12.8 | 19.3 | 22.9 | 22.4 | 22.5 | 25.2 | 28.4 |
| **Other key ratios (%)** | | | | | | | |
| Effective tax rate (%) | 10.2 | 26.8 | 18.6 | 17.1 | 19.0 | 19.0 | 19.0 |
| Ebitda/net int exp (x) | 226.4 | - | - | - | 83.6 | - | - |
| Exceptional or extraord. inc/PBT (%) | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Dividend payout (%) | 76.0 | 17.9 | 21.5 | 21.4 | 23.5 | 23.3 | 11.7 |

Source: www.clsa.com

evalu@tor
The Global Equities Database

## Balance sheet (Rmbm)

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| Cash & equivalents | 156,739 | 172,320 | 132,519 | 141,041 | 303,330 | 513,525 | 778,476 |
| Accounts receivable | 45,467 | 46,606 | 48,203 | 49,930 | 58,562 | 62,863 | 73,146 |
| Inventories | 2,333 | 456 | 440 | 530 | 542 | 658 | 687 |
| Other current assets | 105,926 | 109,263 | 118,707 | 160,181 | 160,181 | 160,181 | 160,181 |
| **Current assets** | **310,465** | **328,645** | **299,869** | **351,682** | **522,616** | **737,227** | **1,012,489** |
| Fixed assets | 76,502 | 73,696 | 97,864 | 167,272 | 224,668 | 268,475 | 295,365 |
| Investments | 662,652 | 704,510 | 829,768 | 937,125 | 940,416 | 943,376 | 945,786 |
| Goodwill | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Other intangible assets | 161,802 | 177,727 | 196,127 | 205,999 | 209,290 | 212,250 | 214,660 |
| Other non-current assets | 218,745 | 292,668 | 357,367 | 376,908 | 376,908 | 376,908 | 376,908 |
| **Total assets** | **1,430,166** | **1,577,246** | **1,780,995** | **2,038,986** | **2,273,898** | **2,538,235** | **2,845,207** |
| Short term loans/OD | 22,026 | 55,698 | 61,508 | 53,160 | 53,160 | 53,160 | 53,160 |
| Accounts payable | 153,520 | 177,543 | 202,744 | 217,623 | 230,201 | 235,826 | 248,626 |
| Accrued expenses | - | - | - | - | - | - | - |
| Taxes payable | 18,186 | 22,036 | 20,624 | 22,281 | 22,281 | 22,281 | 22,281 |
| Other current liabs | 92,507 | 96,880 | 112,033 | 119,687 | 131,686 | 147,417 | 162,954 |
| **Current liabilities** | **286,239** | **352,157** | **396,909** | **412,751** | **437,328** | **458,684** | **487,021** |
| Long-term debt/leases/other | 312,337 | 292,920 | 277,107 | 334,573 | 334,573 | 334,573 | 334,573 |
| Convertible bonds | - | - | - | - | - | - | - |
| Provisions/other LT liabs | 48,730 | 58,488 | 53,083 | 50,597 | 50,597 | 50,597 | 50,597 |
| **Total liabilities** | **647,306** | **703,565** | **727,099** | **797,921** | **822,498** | **843,854** | **872,191** |
| Share capital | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Retained earnings | 705,981 | 813,911 | 892,030 | 1,010,436 | 1,217,863 | 1,456,897 | 1,728,487 |
| Reserves/others | 15,410 | (5,320) | 81,518 | 143,716 | 143,716 | 143,716 | 143,716 |
| **Shareholder funds** | **721,391** | **808,591** | **973,548** | **1,154,152** | **1,361,579** | **1,600,613** | **1,872,203** |
| Minorities/other equity | 61,469 | 65,090 | 80,348 | 86,913 | 89,821 | 93,768 | 100,814 |
| **Total equity** | **782,860** | **873,681** | **1,053,896** | **1,241,065** | **1,451,400** | **1,694,381** | **1,973,016** |
| **Total liabs & equity** | **1,430,166** | **1,577,246** | **1,780,995** | **2,038,986** | **2,273,898** | **2,538,235** | **2,845,207** |
| Total debt | 334,363 | 348,618 | 338,615 | 387,733 | 387,733 | 387,733 | 387,733 |
| Net debt | 177,624 | 176,298 | 206,096 | 246,692 | 84,403 | (125,792) | (390,743) |
| Adjusted EV | 4,173,524 | 4,420,236 | 4,237,387 | 4,093,854 | 3,931,182 | 3,721,975 | 8,159,542 |
| BVPS (fen) | 7,440.9 | 8,414.1 | 10,348.1 | 12,485.4 | 14,729.3 | 17,315.2 | 10,126.0 |

## Balance sheet ratios

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| **Key ratios** | | | | | | | |
| Current ratio (x) | 1.1 | 0.9 | 0.8 | 0.9 | 1.2 | 1.6 | 2.1 |
| Growth in total assets (% YoY) | (5.3) | 10.3 | 12.9 | 14.5 | 11.5 | 11.6 | 12.1 |
| Growth in capital employed (% YoY) | (8.8) | 0.8 | 18.7 | 19.0 | 4.1 | 2.7 | 1.1 |
| Net debt to operating cashflow (x) | 1.2 | 0.8 | 0.8 | 0.8 | 0.2 | - | - |
| Gross debt to operating cashflow (x) | 2.3 | 1.6 | 1.3 | 1.3 | 1.1 | 0.9 | 0.8 |
| Gross debt to Ebitda (x) | 1.9 | 1.6 | 1.3 | 1.3 | 1.1 | 1.0 | 0.8 |
| Net debt/Ebitda (x) | 1.0 | 0.8 | 0.8 | 0.8 | 0.2 | - | - |
| **Gearing** | | | | | | | |
| Net debt/equity (%) | 22.7 | 20.2 | 19.6 | 19.9 | 5.8 | (7.4) | (19.8) |
| Gross debt/equity (%) | 42.7 | 39.9 | 32.1 | 31.2 | 26.7 | 22.9 | 19.7 |
| Interest cover (x) | 12.8 | 14.2 | 18.7 | 17.1 | 16.3 | 19.1 | 22.2 |
| Debt cover (x) | 0.4 | 0.6 | 0.8 | 0.8 | 0.9 | 1.1 | 1.2 |
| Net cash per share (fen) | (1,832.1) | (1,834.5) | (2,190.6) | (2,668.7) | (913.1) | 1,360.8 | 4,226.8 |
| **Working capital analysis** | | | | | | | |
| Inventory days | 2.0 | 1.6 | 0.5 | 0.5 | 0.5 | 0.6 | 0.6 |
| Debtor days | 31.2 | 27.6 | 26.2 | 23.8 | 23.8 | 23.8 | 23.8 |
| Creditor days | 187.0 | 191.3 | 223.2 | 233.1 | 228.3 | 216.4 | 203.6 |
| Working capital/Sales (%) | (19.9) | (23.0) | (25.5) | (19.8) | (19.8) | (19.5) | (19.2) |
| **Capital employed analysis** | | | | | | | |
| Sales/Capital employed (%) | 67.3 | 73.3 | 67.0 | 64.1 | 68.0 | 74.1 | 82.2 |
| EV/Capital employed (%) | 506.1 | 532.0 | 429.7 | 348.8 | 321.8 | 296.7 | 643.4 |
| Working capital/Capital employed (%) | (13.4) | (16.9) | (17.0) | (12.7) | (13.5) | (14.5) | (15.8) |
| Fixed capital/Capital employed (%) | 9.3 | 8.9 | 9.9 | 14.3 | 18.4 | 21.4 | 23.3 |
| **Other ratios (%)** | | | | | | | |
| PB (x) | 6.4 | 6.0 | 4.9 | 4.1 | 3.4 | 2.9 | 5.0 |
| EV/Ebitda (x) | 24.3 | 20.2 | 16.0 | 13.3 | 11.5 | 9.3 | 17.5 |
| EV/OCF (x) | 28.6 | 19.9 | 16.4 | 13.5 | 11.1 | 9.0 | 17.0 |
| EV/FCF (x) | 43.8 | 25.3 | 26.1 | 18.3 | 18.1 | 13.6 | 24.1 |
| EV/Sales (x) | 7.5 | 7.3 | 6.4 | 5.4 | 4.7 | 4.0 | 7.8 |
| Capex/depreciation (%) | 178.8 | 180.2 | 351.0 | 241.5 | 355.3 | 259.0 | 196.5 |

Source: www.clsa.com

evalu@tor
The Global Equities Database

## Cashflow (Rmbm)

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| **Operating profit** | 110,827 | 160,074 | 208,099 | 241,562 | 269,791 | 311,995 | 357,879 |
| Operating adjustments | - | - | - | - | - | - | - |
| Depreciation/amortisation | 61,216 | 59,008 | 56,213 | 66,028 | 73,157 | 89,804 | 108,950 |
| Working capital changes | (18,472) | 19,233 | 21,881 | 14,705 | 15,932 | 16,940 | 18,026 |
| Interest paid / other financial expenses | - | - | - | - | - | - | - |
| Tax paid | - | - | - | - | - | - | - |
| Other non-cash operating items | (7,480) | (16,353) | (27,672) | (19,243) | (4,083) | (5,335) | (6,013) |
| **Net operating cashflow** | 146,091 | 221,962 | 258,521 | 303,052 | 354,798 | 413,404 | 478,842 |
| Capital expenditure | (50,850) | (47,407) | (95,948) | (79,198) | (137,136) | (139,531) | (140,659) |
| **Free cashflow** | 95,241 | 174,555 | 162,573 | 223,854 | 217,662 | 273,874 | 338,182 |
| Acq/inv/disposals | (15,040) | 1,645 | 17,332 | - | - | - | - |
| Int, invt & associate div | (38,981) | (79,399) | (43,571) | (126,534) | - | - | - |
| **Net investing cashflow** | (104,871) | (125,161) | (122,187) | (205,732) | (137,136) | (139,531) | (140,659) |
| Increase in loans | 6,407 | 9,304 | (14,300) | - | - | - | - |
| Dividends | (15,117) | (21,788) | (31,244) | (48,151) | (55,373) | (63,679) | (73,231) |
| Net equity raised/others | (51,243) | (70,089) | (130,950) | (39,005) | 0 | 0 | 0 |
| **Net financing cashflow** | (59,953) | (82,573) | (176,494) | (87,155) | (55,373) | (63,679) | (73,231) |
| Incr/(decr) in net cash | (18,733) | 14,228 | (40,160) | 10,165 | 162,289 | 210,195 | 264,951 |
| Exch rate movements | 7,506 | 1,353 | 359 | (1,643) | 0 | 0 | 0 |
| **Opening cash** | 167,966 | 156,739 | 172,320 | 132,519 | 141,041 | 303,330 | 513,525 |
| **Closing cash** | 156,739 | 172,320 | 132,519 | 141,041 | 303,330 | 513,525 | 778,476 |
| OCF PS (fen) | 1,506.9 | 2,309.7 | 2,747.9 | 3,278.4 | 3,838.1 | 4,472.1 | 5,179.7 |
| FCF PS (fen) | 982.4 | 1,816.4 | 1,728.0 | 2,421.6 | 2,354.6 | 2,962.7 | 3,658.2 |

## Cashflow ratio analysis

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| **Growth (%)** | | | | | | | |
| Op cashflow growth (% YoY) | (16.6) | 51.9 | 16.5 | 17.2 | 17.1 | 16.5 | 15.8 |
| FCF growth (% YoY) | (15.7) | 83.3 | (6.9) | 37.7 | (2.8) | 25.8 | 23.5 |
| Capex growth (%) | (18.2) | (6.8) | 102.4 | (17.5) | 73.2 | 1.7 | 0.8 |
| **Other key ratios (%)** | | | | | | | |
| Capex/sales (%) | 9.2 | 7.8 | 14.5 | 10.5 | 16.5 | 15.0 | 13.5 |
| Capex/op cashflow (%) | 34.8 | 21.4 | 37.1 | 26.1 | 38.7 | 33.8 | 29.4 |
| Operating cashflow payout ratio (%) | 99.7 | 9.4 | 16.4 | 16.2 | 15.9 | 15.7 | 7.8 |
| Cashflow payout ratio (%) | 98.0 | 23.8 | 16.1 | 15.9 | 15.6 | 15.4 | 15.3 |
| Free cashflow payout ratio (%) | 150.3 | 30.2 | 25.7 | 21.5 | 25.4 | 23.3 | 21.7 |

## DuPont analysis

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| Ebit margin (%) | 20.0 | 26.3 | 31.5 | 32.1 | 32.5 | 33.5 | 34.3 |
| Asset turnover (x) | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 |
| Interest burden (x) | 1.9 | 1.0 | 1.2 | 1.1 | 1.1 | 1.1 | 1.1 |
| Tax burden (x) | 0.9 | 0.7 | 0.8 | 0.8 | 0.8 | 0.8 | 0.8 |
| Return on assets (%) | 6.8 | 7.8 | 10.1 | 10.5 | 10.1 | 10.5 | 10.8 |
| Leverage (x) | 1.8 | 1.8 | 1.7 | 1.7 | 1.6 | 1.5 | 1.5 |
| ROE (%) | 24.6 | 15.1 | 21.8 | 21.1 | 18.7 | 18.4 | 18.0 |

## EVA® analysis

| Year to 31 December | 2022A | 2023A | 2024A | 2025A | 2026CL | 2027CL | 2028CL |
|---|---|---|---|---|---|---|---|
| Ebit adj for tax | 99,484 | 117,133 | 169,305 | 200,221 | 218,531 | 252,716 | 289,882 |
| Average invested capital | 311,496 | 375,260 | 443,632 | 542,268 | 623,606 | 660,897 | 681,448 |
| ROIC (%) | 31.9 | 31.2 | 38.2 | 36.9 | 35.0 | 38.2 | 42.5 |
| Cost of equity (%) | 12.9 | 12.9 | 12.9 | 12.9 | 12.9 | 12.9 | 12.9 |
| Cost of debt (adj for tax) | 4.5 | 3.7 | 4.1 | 4.1 | 4.1 | 4.1 | 4.1 |
| Weighted average cost of capital (%) | 12.9 | 12.9 | 12.9 | 12.9 | 12.9 | 12.9 | 12.9 |
| EVA/IC (%) | 19.0 | 18.3 | 25.3 | 24.0 | 22.1 | 25.3 | 29.6 |
| EVA (Rmbm) | 59,301 | 68,725 | 112,076 | 130,269 | 138,086 | 167,460 | 201,975 |

Source: www.clsa.com

Click to rate this research

**Research subscriptions**
To change your report distribution requirements, please contact your CLSA sales representative or email us at cib@clsa.com.
You can also fine-tune your Research Alert email preferences at https://www.clsa.com/member/tools/email_alert/.

## Companies mentioned

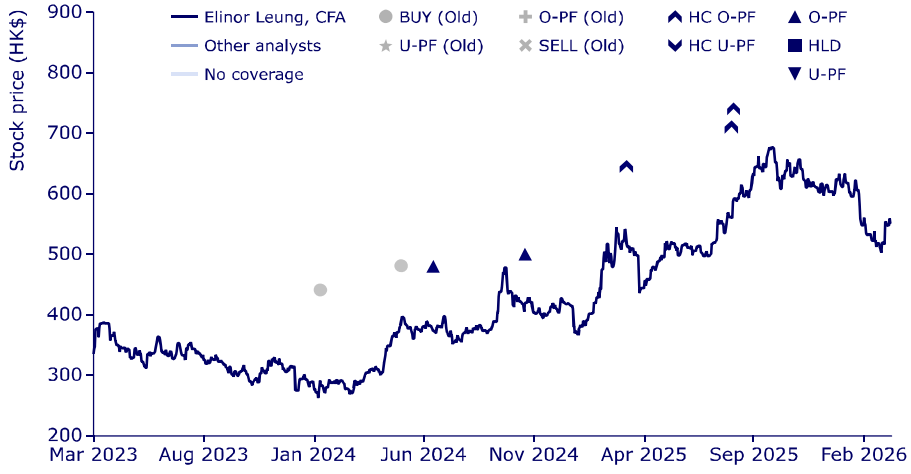
Tencent (700 HK - HK$550.50 - HIGH CONVICTION OUTPERFORM)
Airship Syndicate (N-R)
Archosaur Games (N-R)
Bandai Namco (7832 JP - ¥4,230 - O-PF)
Capcom (9697 JP - ¥3,584 - O-PF)
Century Games (N-R)
Combo Games (N-R)
Digital Extremes (N-R)
Fatshark (N-R)
Funcom (N-R)
Game Freak (N-R)
Griding Gear Games (N-R)
Grinding Gear Games (N-R)
Guangzhou Kugou Computer Technology Co., Ltd (N-R)
Hero Games (N-R)
iDreamSky (N-R)
Inflexion Games (N-R)
Intelligent Systems (N-R)
Level Infinite (N-R)
LightSpeed Studios (N-R)
Marvelous (N-R)
MiHoYo (N-R)
Neople (N-R)
NetEase (NTES US - US$118.87 - O-PF)
Nintendo (7974 JP - ¥9,859 - U-PF)
Nokura (N-R)
Offworld Industries (N-R)
PaperGames (N-R)
Peral Abyss (N-R)
Perfect World (N-R)
Retro (N-R)
Secret Mode (N-R)
Shanghai Youai Zhixing (N-R)
Shift Up (N-R)
Smilegate (N-R)
Sumo Leamington (N-R)
Supercell (N-R)
Tencent Saroasis Studios (N-R)
The Outsiders (N-R)
The Pokemon Company (N-R)
Timi Studio (N-R)
TiMi Studio Group (N-R)
Ubisoft (N-R)

## Analyst certification

The analyst(s) of this report hereby certify that the views expressed in this research report accurately reflect my/our own personal views about the securities and/or the issuers and that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this research report.

# Important disclosures

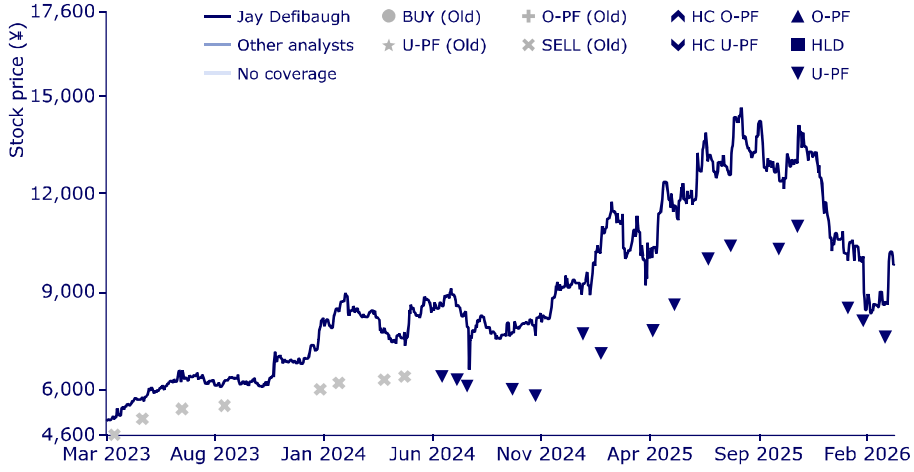
**Recommendation history of Tencent Holdings Ltd 700 HK**




| Date | Rec | Target | Date | Rec | Target |
|---|---|---|---|---|---|
| 14 Aug 2025 | HC O-PF | 740.00 | 28 Jun 2024 | O-PF | 480.00 |
| 11 Aug 2025 | HC O-PF | 710.00 | 15 May 2024 | BUY | 480.00 |
| 20 Mar 2025 | HC O-PF | 645.00 | 25 Jan 2024 | BUY | 440.00 |
| 01 Nov 2024 | O-PF | 500.00 | | | |

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

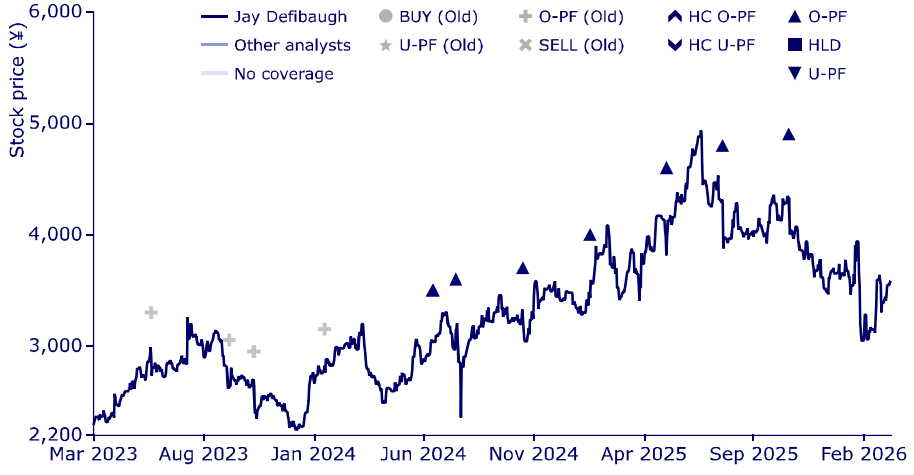
**Recommendation history of Nintendo Co Ltd 7974 JP**




| Date | Rec | Target | Date | Rec | Target |
|---|---|---|---|---|---|
| 06 Mar 2026 | U-PF | 7,600.00 | 04 Oct 2024 | U-PF | 6,000.00 |
| 03 Feb 2026 | U-PF | 8,100.00 | 02 Aug 2024 | U-PF | 6,100.00 |
| 13 Jan 2026 | U-PF | 8,500.00 | 19 Jul 2024 | U-PF | 6,300.00 |
| 04 Nov 2025 | U-PF | 11,000.00 | 28 Jun 2024 | U-PF | 6,400.00 |
| 09 Oct 2025 | U-PF | 10,300.00 | 07 May 2024 | SELL | 6,400.00 |
| 03 Aug 2025 | U-PF | 10,400.00 | 09 Apr 2024 | SELL | 6,300.00 |
| 03 Jul 2025 | U-PF | 10,000.00 | 06 Feb 2024 | SELL | 6,200.00 |
| 17 May 2025 | U-PF | 8,600.00 | 11 Jan 2024 | SELL | 6,000.00 |
| 17 Apr 2025 | U-PF | 7,800.00 | 31 Aug 2023 | SELL | 5,500.00 |
| 04 Feb 2025 | U-PF | 7,100.00 | 03 Jul 2023 | SELL | 5,400.00 |
| 10 Jan 2025 | U-PF | 7,700.00 | 09 May 2023 | SELL | 5,100.00 |
| 05 Nov 2024 | U-PF | 5,800.00 | 31 Mar 2023 | SELL | 4,600.00 |

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

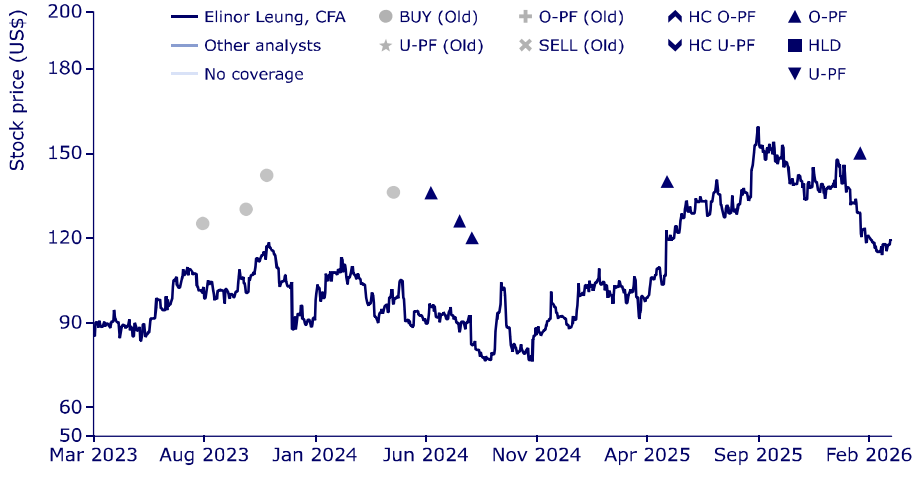
**Recommendation history of Capcom Co Ltd 9697 JP**




| Date | Rec | Target | Date | Rec | Target |
|---|---|---|---|---|---|
| 29 Oct 2025 | O-PF | 4,900.00 | 28 Jun 2024 | O-PF | 3,500.00 |
| 30 Jul 2025 | O-PF | 4,800.00 | 27 Jun 2024 | O-PF | 3,500.00 |
| 14 May 2025 | O-PF | 4,600.00 | 31 Jan 2024 | O-PF | 3,150.00* |
| 29 Jan 2025 | O-PF | 4,000.00 | 26 Oct 2023 | O-PF | 2,950.00* |
| 29 Oct 2024 | O-PF | 3,700.00 | 22 Sep 2023 | O-PF | 3,050.00* |
| 29 Jul 2024 | O-PF | 3,600.00 | 07 Jun 2023 | O-PF | 3,300.00* |

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA; * Adjusted for corporate action

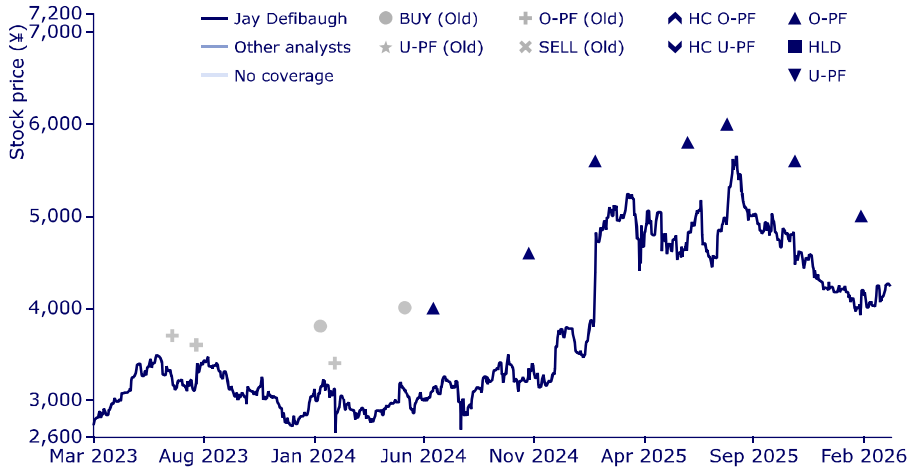
**Recommendation history of NetEase Inc NTES US**




| Date | Rec | Target | Date | Rec | Target |
|---|---|---|---|---|---|
| 03 Feb 2026 | O-PF | 150.00 | 08 May 2024 | BUY | 136.00 |
| 16 May 2025 | O-PF | 140.00 | 17 Nov 2023 | BUY | 142.00 |
| 23 Aug 2024 | O-PF | 120.00 | 20 Oct 2023 | BUY | 130.00 |
| 06 Aug 2024 | O-PF | 126.00 | 22 Aug 2023 | BUY | 125.00 |
| 28 Jun 2024 | O-PF | 136.00 | | | |

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

**Recommendation history of Bandai Namco Holdings Inc 7832 JP**




| Date | Rec | Target | Date | Rec | Target |
|---|---|---|---|---|---|
| 05 Feb 2026 | O-PF | 5,000.00 | 28 Jun 2024 | O-PF | 4,000.00 |
| 06 Nov 2025 | O-PF | 5,600.00 | 20 May 2024 | BUY | 4,000.00 |
| 05 Aug 2025 | O-PF | 6,000.00 | 14 Feb 2024 | O-PF | 3,400.00 |
| 12 Jun 2025 | O-PF | 5,800.00 | 25 Jan 2024 | BUY | 3,800.00 |
| 05 Feb 2025 | O-PF | 5,600.00 | 08 Aug 2023 | O-PF | 3,600.00 |
| 06 Nov 2024 | O-PF | 4,600.00 | 06 Jul 2023 | O-PF | 3,700.00 |

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA investment rankings below for details. Source: CLSA

CLSA ("CLSA") in this report refers to CLSA Limited, CLSA Americas, LLC, CLSA Australia Pty Ltd, CLSA India Private Limited, PT CLSA Sekuritas Indonesia, CLSA Securities Japan Co., Ltd., CLSA Securities Korea Ltd., CLSA Securities Malaysia Sdn. Bhd., CLSA Philippines, Inc, CLSA Singapore Pte Ltd, CLSA Securities (Thailand) Limited, CLSA (UK), CLSA Europe B.V. and/or their respective affiliates.

The policies of CLSA are to only publish research that is impartial, independent, clear, fair, and not misleading. Regulations or market practice of some jurisdictions/markets prescribe certain disclosures to be made for certain actual, potential or perceived conflicts of interests relating to a research report as below. This research disclosure should be read in conjunction with the research disclaimer as set out hereof and at www.clsa.com/disclaimer.html, the Terms and Conditions of Use as set out at https://www.clsa.com/terms-and-conditions-of-use/ and the applicable regulation of the concerned market where the analyst is stationed and hence subject to. Investors are strongly encouraged to review this disclaimer before investing.

Neither analysts nor their household members or associates may have a financial interest in, or be an officer, director or advisory board member of companies covered by the analyst unless disclosed herein. In circumstances where an analyst has a pre-existing holding in any securities under coverage, those holdings are grandfathered and the analyst is prohibited from trading such securities.

The analysts included herein hereby confirm that they have not been placed under any undue influence, intervention or pressure by any person/s in compiling this research report. In addition, the analysts attest that they were not in possession of any material, non-public information regarding the subject company that has securities listed in the relevant jurisdiction(s) at the time of publication of this report. (For full disclosure of interest for all companies covered by CLSA in this report, please refer to http://www.clsa.com/member/research_disclosures/ for details.)

As analyst(s) of this report, I/we hereby certify that the views expressed in this research report accurately reflect my/our own personal views about the securities and/or the issuers and that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this report or to any investment banking relationship with the subject company covered in this report (for the past one year) or otherwise any other relationship with such company which leads to receipt of fees from the company except in ordinary course of business of the company. The analyst/s also state/s and confirm/s that he/she/they has/have not been placed under any undue influence, intervention or pressure by any person/s in compiling this research report. In addition, the analysts included herein attest that they were not in possession of any material, non-public information regarding the subject company that has securities listed in the relevant jurisdiction(s) at the time of publication of this report. The analysts further confirm that none of the information used in this report was received from CLSA's Corporate Finance department, Sales and Trading or asset management business. Save from the disclosure below (if any), the analyst(s) is/are not aware of any material conflict of interest.

For the companies under research coverage, CLSA, CLSA Americas and/or their respective affiliates provided investment banking services and received compensation for investment banking services from Tencent Holdings Ltd in the past 12 months.

For the companies under research coverage, CLSA, CLSA Americas and/or their respective affiliates managed or co-managed a public offering of Tencent Holdings Ltd's securities in the past 12 months.

For the companies under research coverage, CLSA, CLSA Americas and/or their respective affiliates expect(s) to receive or intend(s) to seek compensation for investment banking services from Tencent Holdings Ltd in the next three months.

CLSA, CLSA Americas, CLSA Securities Korea Limited and/or their respective affiliates make a market in the securities of Tencent Holdings Ltd.

Key to CLSA investment rankings: From 16 December 2024: High-Conviction Outperform (HC O-PF): Strong conviction that a top-quartile stock (by expected return in analyst's coverage) will outperform and total stock return (TSR) expected to exceed or be equal to 10%; Outperform (O-PF): TSR expected to exceed or be equal to 10%; Hold (HLD): TSR expected to be below 10% but more than or equal to negative 10%; Underperform (U-PF): TSR expected to be below negative 10%; High-Conviction Underperform (HC U-PF): Strong conviction that a bottom-quartile stock (by expected return in analyst's coverage) will underperform and total stock return expected

to be below negative 10%. TSR is up/downside to 12-month target price plus dividend. From 6pm (HK time) on 28 June 2024 and up to 16 December 2024: Outperform (O-PF): TSR expected to exceed or be equal to 10%; Hold (HLD): TSR expected to be below 10% but more than or equal to negative 10%; Underperform (U-PF): TSR expected to be below negative 10%. Up to 6pm (HK time) on 28 June 2024: BUY: Total stock return (including dividends) expected to exceed 20%; O-PF (aka ACCUMULATE): Total expected return below 20% but exceeding market return; U-PF (aka REDUCE): Total expected return positive but below market return; SELL: Total return expected to be negative. For relative performance, we benchmarked the 12-month total forecast return (including dividends) for the stock against the 12-month forecast return (including dividends) for the market on which the stock trades.

According to the key to CLSA investment rankings effective from 16 December 2024: Overall rating distribution for CLSA only Universe: High-Conviction Outperform - CLSA: 6.94%, Outperform - CLSA: 63.81%, Hold - CLSA: 22.80%, Underperform - CLSA: 5.45%, High-Conviction Underperform - CLSA: 0.21%, Restricted - CLSA: 0.78%; Data as of 1 Jan 2026. Investment banking clients as a % of rating category: High-Conviction Outperform – CLSA 0.78%, Outperform - CLSA: 14.52%, Hold - CLSA: 1.63%, Underperform - CLSA: 0.57%, High-Conviction Underperform - CLSA: 0.00%, Restricted - CLSA: 0.78%. Data for 12-month period ending 1 Jan 2026. For purposes of regulatory disclosure only, our High-Conviction Outperform and Outperform ratings fall into a buy rating category; our Hold rating falls into a hold rating category; and our High-Conviction Underperform and Underperform ratings fall into a sell rating category.

For a history of the recommendation, price targets and disclosure information for companies mentioned in this report please write to: CLSA Group Compliance, 18/F, One Pacific Place, 88 Queensway, Hong Kong. You may also find history of the recommendation and price target for companies mentioned in this report from the company page on clsa.com/member. EVA® is a registered trademark of Stern, Stewart & Co. "CL" in charts and tables stands for CLSA estimates, "CRR" stands for CRR Research estimates and "CS" for CITIC Securities estimates unless otherwise noted in the source.

Charts and tables sourced to CLSA in this report may include data extracted from CLSA's automated databases, which derive their original data from a range of sources. These can include: companies; analyst estimates/calculations; local exchanges and/or third-party data or market pricing providers such as Bloomberg, FactSet or IBES. Additional information on data sources for specific charts or tables can be obtained by contacting the publishing analysts.

This report is subject to and incorporates the terms and conditions of use set out on the www.clsa.com website (https://www.clsa.com/disclaimer.html and https://www.clsa.com/terms -and-conditions-of use/) and the references to "publication/communication" or "Publications" thereof shall include this report. Neither this report nor any portion hereof may be reprinted, sold, resold, copied, reproduced, distributed, redistributed, published, republished, displayed, posted or transmitted in any form or media or by any means without the written consent of CLSA. CLSA has/have produced this report for private circulation to professional, institutional and/or wholesale clients only, and may not be distributed to retail investors. The information, opinions and estimates herein are not directed at, or intended for distribution to or use by, any person or entity in any jurisdiction where doing so would be contrary to law or regulation or which would subject CLSA to any additional registration or licensing requirement within such jurisdiction. The information and statistical data (for private or public companies) herein have been obtained from sources we believe to be reliable. Such information has not been independently verified and CLSA makes no representation or warranty as to its fairness, adequacy, accuracy, completeness or correctness. The replication of any third party views in this report should not be treated necessarily as an indication that CLSA agrees with or concurs with such views. None of CLSA, its affiliates and their respective directors, officers, employees, advisers and representatives makes any representation or warranty, express or implied, as to and no reliance should be placed on, the fairness, accuracy, completeness or correctness of such data or information contained herein or any statement made in this report. Any opinions or estimates herein reflect the judgment of the analyst(s) at the date of this report and are subject to change at any time without notice. Where any part of the information, opinions or estimates contained herein reflects the views and opinions of a salesperson or a non-analyst, such views and opinions may not correspond to the published view of CLSA. Any price target given in the report may be projected from one or more valuation models and hence any price target may be subject to the inherent risk of the selected model as well as other external risk factors. Where the publication does not contain ratings, the material should not be construed as research but is offered as factual commentary. It is not intended to, nor should it be used to form an investment opinion about the non-rated companies.

This report is for information purposes only and it does not constitute or contain, and should not be considered as an offer or invitation to sell, or any solicitation or invitation of any offer to subscribe for or purchase any securities in any jurisdiction and recipient of this report must make its own independent decisions regarding any securities or financial instruments mentioned herein. This is not intended to provide professional, investment or any other type of advice or recommendation and does not take into account the particular investment objectives, financial situation or needs of individual recipients. Before acting on any information in this report, you should consider whether it is suitable for your particular circumstances and, if appropriate, seek professional advice, including legal or tax advice. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to movements of exchange rate. Past performance is not necessarily a guide to future performance or liquidity. CLSA does not accept any responsibility and cannot be held liable for any person's use of or reliance on the information and opinions contained herein. To the extent permitted by applicable securities laws and regulations, CLSA accepts no liability whatsoever for any direct or consequential loss arising from the use of this report or its contents.

To maintain the independence and integrity of our research, our Corporate Finance, Sales Trading, Asset Management and Research business lines are distinct from one another. This means that CLSA's Research department is not part of and does not report to CLSA's Corporate Finance department, CLSA's Sales and Trading business or Asset Management business. Accordingly, neither the Corporate Finance department, the Sales and Trading department nor the Asset Management department supervises or controls the activities of CLSA's research analysts. CLSA's research analysts report to the management of the Research department, who in turn report to CLSA's senior management. CLSA has put in place a number of internal controls designed to manage conflicts of interest that may arise as a result of CLSA engaging in Corporate Finance, Sales and Trading, Asset Management and Research activities. Some examples of these controls include: the use of information barriers and other controls designed to ensure that confidential information is only shared on a "need to know" basis and in compliance with CLSA's Chinese Wall policies and procedures; measures designed to ensure that interactions that may occur among CLSA's Research personnel, Corporate Finance, Asset Management, and Sales and Trading personnel, CLSA's financial product issuers and CLSA's research analysts do not compromise the integrity and independence of CLSA's research.

Subject to any applicable laws and regulations at any given time, CLSA, its affiliates, officers, directors or employees may have used the information contained herein before or after publication and may have positions in, or may from time to time purchase or sell or have an interest or a material interest in any of the securities mentioned or related securities, or may currently or in future have or have had a business or financial relationship with, or may provide or have provided corporate finance/capital markets and/or other services to, the entities referred to herein, their advisors and/or any other connected parties. As a result, you should be aware that CLSA and/or its affiliates, officers, directors or employees may have one or more conflicts of interest. Regulations or market practice of some jurisdictions/markets prescribe certain disclosures to be made for certain actual, potential or perceived conflicts of interests relating to

research reports. Details of the disclosable interest can be found in certain reports as required by the relevant rules and regulation and the full details of conflicts of interest with companies under coverage are available at http://www.clsa.com/member/research_disclosures/. Disclosures therein include the position of CLSA only. Unless specified otherwise, CLSA did not receive any compensation or other benefits from the subject company, covered in this report, or from any third party. For CITICS disclosure about specific companies mentioned herein, please access: https://www.clsa.com/member/research_disclosures_citics/. If investors have any difficulty accessing this website, please contact webadmin@clsa.com/login.enquiry@clsa.com. If you require disclosure information on previous dates, please contact compliance_hk@clsa.com.

You should make your own independent evaluation of the relevance, adequacy, and correctness of information contained in this report and conduct such investigations as you deem necessary, including making inquiries with the company and obtaining independent financial or investment advice before making critical decisions. You shall not use or rely on the contents of the information herein for any purpose. You shall apply caution when using this report at your own risk. You shall assume full responsibility for any interpretations, decisions, or actions taken based on the information provided and assume all risks associated with the use of this report, and releases CLSA, its affiliates and representatives from any liability arising from such use. You shall be solely responsible for any losses incurred.

Please be aware that artificial intelligence (AI) may be utilized in connection with research, analysis and reporting activities and such use may range from superficial (e.g., auxiliary data processing) to material (e.g., primary analysis or inclusion of AI-generated content contained herein). This report contained herein may contain AI generated content and may contain inaccuracies, omissions, misstatement, or misinterpretations due to AI's inherent limitations. CLSA together with its representatives may or may not have reviewed, edited, or approved such research report contained herein.

The report contained herein is strictly prohibited from being used, in whole or in part, for the purpose of training AI system, including but not limited to machine learning models or any other AI related development, whether for commercial, public or broad use or distribution purposes, unless with the prior written consent of CLSA. The report provided herein is intended solely for informational purposes and is not designed or authorized for integration with or use within any AI tools or systems by the report user. The report user shall not, under any circumstances, incorporate, feed, or utilize the content of the report directly or indirectly into any AI applications, models or algorithms. By accessing information herein, you agree to abide by these restrictions and CLSA reserves the right to enforce these terms and pursue remedies for unauthorized use.

Any disputes related to this report shall be governed by the laws of Hong Kong and to the non-exclusive jurisdiction of the courts of Hong Kong in connection with any suite, action or proceeding arising out of or in connection with this material. In the event any of the provisions in these disclaimers shall be held to be unenforceable, that provision shall be enforced to the maximum extent permissible to reflect the intention underlying the unenforceable term, and the remainder of these General Disclaimer shall be unimpaired.

This report is distributed for and on behalf of CLSA, in the United States by CLSA Americas, LLC (for research compiled by US analyst(s)), in Australia by CLSA Australia Pty Ltd (ABN 53 139 992 331/AFSL License No: 350159); in Hong Kong by CLSA Limited (Incorporated in Hong Kong with limited liability); in India by CLSA India Private Limited, (Address: 8/F, Dalamal House, Nariman Point, Mumbai 400021. Tel No: +91-22-66505050. Fax No: +91-22-22840271; CIN: U67120MH1994PLC083118; SEBI Registration No: INZ000001735 as Stock Broker, INM000010619 as Merchant Banker and INH000001113 as Research Analyst; in Indonesia by PT CLSA Sekuritas Indonesia (a securities company licensed and supervised by Financial Services Authority (Otoritas Jasa Keuangan) which does not provide short selling services; in Japan by CLSA Securities Japan Co., Ltd.; in Korea by CLSA Securities Korea Ltd.; in Malaysia by CLSA Securities Malaysia Sdn. Bhd.; in the Philippines by CLSA Philippines Inc; in Singapore by CLSA Singapore Pte Ltd and solely to persons who qualify as an "Institutional Investor", "Accredited Investor" or "Expert Investor" MDDI (P) 035/11/2025; in Thailand by CLSA Securities (Thailand) Limited; and in the European Economic Area ('EEA") by CLSA Europe BV and in the United Kingdom by CLSA (UK).

China Hong Kong: This research report is distributed by CLSA Limited. This research report is distributed in Hong Kong only to professional investors (as defined in the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong) and any rules promulgated thereunder) and may not be distributed to retail investors. Recipients should contact CLSA Limited, Tel: +852 2600 8888 in respect of any matters arising from, or in connection with, the analysis or report.

Australia: CLSA Australia Pty Ltd ("CAPL") (ABN 53 139 992 331/AFS License No: 350159) is regulated by the Australian Securities and Investments Commission ("ASIC") and is a Market Participant of ASX Limited and Cboe Australia Pty Ltd. This material is issued and distributed by CAPL in Australia to "wholesale clients" only. This material does not take into account the specific investment objectives, financial situation or particular needs of the recipient. The recipient of this material must not distribute it to any third party without the prior written consent of CAPL. For the purposes of this paragraph the term "wholesale client" has the meaning given in section 761G of the Corporations Act 2001. CAPL's research coverage universe spans listed securities across the ASX All Ordinaries index, securities listed on offshore markets, unlisted issuers and investment products which Research management deem to be relevant to the investor base from time to time. CAPL seeks to cover companies of relevance to its domestic and international investor base across a variety of sectors.

India: CLSA India Private Limited, incorporated in November 1994 provides equity brokerage services (SEBI Registration No: INZ000001735), research services (SEBI Registration No: INH000001113) and merchant banking services (SEBI Registration No.INM000010619) to global institutional investors, pension funds and corporates. CLSA and its associates may have debt holdings in the subject company. Further, CLSA and its associates, in the past 12 months, may have received compensation for non-investment banking services and/or non-securities related services from the subject company. For further details of "associates" of CLSA India please contact Compliance-India@clsa.com. Registration granted by SEBI and certification from NISM in no way guarantee performance of CLSA India Private Limited or provide any assurance of returns to investors. Compliance officer & Grievance officer: Neeta Sanghavi, Tel: 22 6650 5050. Email address of Compliance officer and Grievance cell: compliance-india@clsa.com.

Singapore: This report is distributed in Singapore by CLSA Singapore Pte Ltd to institutional investors, accredited investors or expert investors (each as defined under the Financial Advisers Regulations) only. Singapore recipients should contact CLSA Singapore Pte Ltd, 80 Raffles Place, #18-01, UOB Plaza 1, Singapore 048624, Tel: +65 6416 7888, in respect of any matters arising from, or in connection with, the analysis or report. By virtue of your status as an institutional investor, accredited investor or expert investor, CLSA Singapore Pte Ltd is exempted from complying with certain requirements under the Financial Advisers Act 2001, the Financial Advisers Regulations and the relevant Notices and Guidelines issued thereunder (as disclosed in Part C of the Securities Dealing Services – Singapore Annex of the CLSA terms of business), in respect of any financial advisory services that CLSA Singapore Pte Ltd may provide to you. MDDI (P) 035/11/2025.

United States of America: Where any section is compiled by non-US analyst(s), it is distributed into the United States in one of two ways: 1) by CLSA Americas, LLC, as third party research, or 2) by CLSA (except CLSA Americas, LLC) solely to persons who qualify as "Major US Institutional Investors" as defined in Rule 15a-6 under the Securities and Exchange Act of 1934 and who deal with CLSA Americas, LLC. However, the delivery of this research report to any person in the United States shall not be deemed a recommendation to effect any transactions in the securities discussed herein or an endorsement of any opinion expressed herein. Any recipient of this research in the United States wishing to effect a transaction in any security mentioned herein should do so by contacting CLSA Americas, LLC.

CLSA Americas, LLC acts as a Rule 15a-6 broker pursuant to Rule 15a-6 under the U.S. Securities Exchange Act of 1934 to each of the

non-U.S. broker-dealer affiliate Groups, CITIC Securities and CLSA.

Each of these Groups produces its own research, desk reports or commentary (collectively, "Securities Analysis"). Each non-U.S. broker-dealer has separate distribution lists for the transmission of its Securities Analysis, although some recipients may be on the distribution lists of both broker-dealers. Information, opinions and estimates contained in the Securities Analysis reflect the judgment of the respective analyst(s), whether of CITIC Securities or of CLSA, who produced the Securities Analysis at the date of its original publication and are subject to changes without notification. The opinions in the Securities Analysis also may be different from or contrary to the opinions presented by other business departments, units or affiliates of CITIC Securities and CLSA even on the same specific security. As CLSA and CITIC Securities produce Securities Analyses independently of each other, they may have adopted different assumptions, standards, and analytical methods in the preparation of their respective Securities Analyses, and may have different opinions, ratings or recommendations with respect to any security. CLSA Americas, LLC has no obligation to bring to the attention of any recipient of the Securities Analysis any other Securities Analyses, or differences between other Securities Analyses and the concerned Securities Analysis.

Canada: This research report has been produced by CLSA. The delivery of this research report to any person in Canada shall not be deemed a recommendation to effect any transactions in the securities discussed herein or an endorsement of any opinion contained herein.

The United Kingdom: This document is a marketing communication. It has not been prepared in accordance with the legal requirements designed to promote the independence of investment research, and is not subject to any prohibition on dealing ahead of the dissemination of investment research. The document is disseminated in the UK by CLSA (UK) and directed at persons having professional experience in matters relating to investments, as defined in the relevant applicable local regulations. Any investment activity to which it relates is only available to such persons. If you do not have professional experience in matters relating to investments you should not rely on this document. CLSA (UK) is authorised and regulated by the Financial Conduct Authority.

The European Economic Area ('EEA"): Research is distributed by CLSA Europe BV, authorised and regulated by the Netherlands Authority for Financial Markets.

Malaysia: This publication is distributed by CLSA Securities Malaysia Sdn Bhd (CLSA Malaysia) and is intended solely for persons with sufficient knowledge and experience in investment. The information contained herein pertains exclusively to those with such expertise, and any investment decisions based on it should only be undertaken by such persons. If a person lacks knowledge, experience, or qualifications in investment matters, please refrain from relying on this document. Malaysia recipients should contact CLSA Securities Malaysia Sdn Bhd, Suite 21-01, Level 21, Menara Generali, 27 Jalan Sultan Ismail, 50250 Kuala Lumpur, Tel: +603 20567888, in respect of any matters arising from, or in connection with, the analysis or report.

CLSA Malaysia's research coverage universe spans listed securities across the FBM KLCI Index, securities listed on offshore markets, unlisted issuers and investment products which Research management deem to be relevant to the investor base from time to time. CLSA Malaysia seeks to cover companies of relevance to its domestic and international investor base across a variety of sectors.

Korea: This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only.

For all other jurisdiction-specific disclaimers please refer to https://www.clsa.com/disclaimer.html. The analysts/contributors to this report may be employed by any relevant CLSA entity, which is different from the entity that distributes the report in the respective jurisdictions.© 2026 CLSA Limited.

Investment in securities market are subject to market risks. Read all the related documents carefully before investing.